

FLEX SUPREME

PRIMARY RESIDENCE				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property Type
740	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
	2,500,000	80	65	
	3,000,000	75	N/A	
700	2,000,000	80	75	
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
SECOND HOME				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property Type
700	2,000,000	80	75	SFR, PUD, Warrantable Condo
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
INVESTMENT PROPERTY				
Min Credit Score	Max Loan Amount	Max LTV Purchase & Rate/ Term	Max LTVCash-Out Refinance	Property
700	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	

OVERVIEW

The Flex Supreme Program is designed for the most qualified borrowers from an income and credit standpoint, with less complex transactions.

GEOGRAPHIC RESTRICTIONS

DC	Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
FL	- Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. - Charlotte, Lee, Hendry, and Glades Counties: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	- Cook County: Effective July 2, 2025, all occupancies are ineligible. - Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
IN	Indianapolis: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
MD	Baltimore City: Effective July 2, 2025, all occupancies are ineligible.
NJ	Patterson: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
NY	- Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. - All originations are restricted as follows: - Brooklyn: Effective July 29, 2025, Investment Properties are ineligible, including DSCR. - Orange County: Effective July 2, 2025, all occupancies are ineligible. - No 5/6 ARMs on Investment Property loans below the FNMA loan limit.

	- See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	- Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible - Lubbock: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.

GENERAL REQUIREMENTS

Exceptions	Not Permitted
Product Type	30 Year Fixed Fully Amortizing 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) 5/6 & 7/6 SOFR ARMs - Fully Amortizing only, qualify at higher of fully indexed
Interest Only	- Minimum 700 credit score and Max 75% LTV. - First Time Homebuyers are ineligible
Loan Amounts	Minimum \$100,000 and Max \$3,000,000
2-1 Buydown	Not permitted
Occupancy	Primary Residence, Second Homes, and Investment Properties
Loan Purpose	Purchase, Rate & Term Refinance, and Cash Out Refinance
Cash Out Refinance	- Minimum of 6 (six) months seasoning from most recent transaction. <=70 LTV: Unlimited and >70 LTV: \$500,000 - Refinance of an existing Texas 50(a)(6), Texas Section 50(a)(4) and Texas Section 50(a)(3) are ineligible. - Not permitted in declining markets
Interested Party Contributions	- Primary Residence and Second Homes: <= 75% LTV = 9% > 75% = 6% - Investment Properties: - Max 6%
Ineligible Transactions	- Non-Arm's Length transactions - Non-Occupant co-borrowers on Second Home and Investment Properties - Delayed Financing - Flip transactions (Seller on title < 180 days) unless they are a national / regional builder - Cash Out Refinance in a declining market - Refinances of properties listed for sale in the previous 6 months (based on the application date) - Refinances of existing Texas Section 50(a)(6), Texas 50(f)(2) and Texas Section 50(a)(3) loans - Escrow Holdbacks - A transaction paying off an Installment Land Contract - Title held in Tenants in Common with unequal ownership - Community Land Trusts
Subordinate Financing	Permitted on Primary Residence and Second Homes
Escrow Waivers	- Waiver of escrows is permitted as follows: - Primary Residence and Second Homes only - Loan must be non-HPML - Housing History: 0x30x12 is required - CA: Minimum score 700 *Waiver of escrows is not permitted on the following: - Flood Insurance premiums for properties located in zones A or V - Taxes and hazard escrows can be waived provided the escrow waiver requirements are met and the loan is priced with an escrow waiver. *Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed.
Prepayment Penalty	Required where permitted for Investment Properties . Refer to the "Business Purpose Licensing & PPP Restrictions" PDF in the Documents Tab in the Client Portal.

	• Not permitted on Primary Residence or Second Homes
Age of Loan Documentation	• Credit: 120 days • Income and Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident (U.S. credit only) H1B and L1 Visas only; Max 75% LTV • Non-Occupant Co-Borrowers • First Time Homebuyer (FTHB)	<u>Ineligible:</u> • ITINs • DACA • Foreign Nationals
Non-Occupant Co-Borrower	• Permitted for Primary Residence only • Max Total DTI 43% • Max 65% DTI for occupying borrower • Cash Out not permitted • Non-occupant co-borrower must be a relative • Rate & Term Refinance (non-occupant co-borrower must be on current loan) • Max Loan Amount \$1,000,000	
First Time Homebuyer (FTHB)	• 1-Unit Primary Residence only • 0x30x24 rental history • Max DTI <= 43% • Minimum 7-years seasoning for credit events • Cash-Out is not permitted • Interest Only not permitted • At least 1 borrower must have a 24 month rental history • When at least one borrower has owned a residential property in the prior 3 years, the FTHB requirements do not apply	

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score of 680 is required • A minimum of 2 credit scores is required (Refer to Tradelines) • The Representative Credit Score is based on the primary borrowers' credit score; qualify as follows: ◦ Highest middle credit score of 3 or lower of 2 credit scores • Additional borrowers must have a minimum 600 score if not the primary wage earner. * For Asset Utilization use the highest Representative Score of all borrowers	
Tradelines	• Tradeline requirements are not waived when the Primary borrower has 3 credit scores • Each borrower must have a minimum of 3 traditional tradelines rated for at least 12 months, OR 2 trades reporting for 24+ months, OR 24-month mortgage history reporting on credit • Guidance around tradeline eligibility: ◦ Trades must reflect an acceptable payment history with no more than 0x30x12 and minor delinquency permitted in months 13-24 ◦ Closed accounts may be used to satisfy the minimum tradeline requirements if payment history is acceptable (provided it was closed in the last 12 months) ◦ Deferred accounts (w/o payment history) cannot be used to meet the minimum requirement ◦ Borrowers who do not meet the requirements above are ineligible for this Program (may be considered under another Program)	
Housing History	• 0x30x12 • First Time Homebuyer 0x30x24	
Credit/Housing Events	• Borrowers with prior significant derogatory credit events must meet the following criteria: ◦ Max DTI 43% ◦ All borrowers must have reestablished acceptable credit verified after the credit event ◦ Borrowers with unrelated multiple significant credit events are ineligible ◦ Minimum 4 years seasoning required ◦ First time homebuyer >= 7 years seasoning required	

DTI AND RESIDUAL REQUIREMENTS

Max DTI	• 50% • When DTI is > 43% and credit score of >= 740 is required • First Time Homebuyer (FTHB) Max 43% • Non-Occupant Co-Borrower Max 43% • Borrowers with prior Housing or Credit Event Max 43%
Residual Income	• Applies to HPML loans or when the DTI > 43% on Primary Residence and Second Homes only • Defined as Gross Monthly Income less Total Monthly Obligations • Requirement based on # in household: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 ○ Add \$150 per additional household member (related or unrelated)

INCOME REQUIREMENTS

Self-Employment	• Borrowers must have a minimum of 2 years in the current business
Secondary Income	• Secondary income combined with primary source of income: ○ Additional income sources cannot represent more than 50% of the total qualifying income
Full Doc - Income Requirements	
Wage Earners	• 30 days of paystubs reflecting YTD earnings, 1 or 2 years W-2 or an electronic verification of employment, W-2 transcripts and a fully executed and signed IRS Form-4506C
Self-Employment	• 1 or 2 years of personal and business tax returns (including K-1s), YTD P&L, Tax Transcripts, 2 months of most recent personal or business bank statements to support the income on the P&L
Rental Income	• Rental income on the Tax Returns: ○ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying ○ Cash flow Analysis of the Schedule E should be completed • Rental Income NOT on the Tax Returns: ○ Evidence of borrower's ownership of the property ○ For a refinance and/or to document rental income on other REOs: ▪ Lease agreement ▪ Two months of bank statements demonstrating receipt of rental income. ▪ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source. ▪ 75% of the rental amount on the lease is used for qualifying.
Alt Doc - Income Requirements	
Personal Bank Statements	• 12 or 24 months of personal and 2 months of business bank statements • Qualifying income is determined by the total eligible deposits from the 12 or 24 months of personal statements divided by the number of statements • Business bank statements must reflect business activity and transfers to the personal account. Borrower must have a minimum of 50% ownership in the business, individually or combined with a co-borrower • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history
Business/Co-Mingled Bank Statements	• 12 or 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ○ Fixed Expense Ratio (50%); OR ○ Expense ratio provided by a third party (CPA or EA) min ratio of 20%, OR ○ Third party prepared Profit & Loss Statement (CPA or EA) min ratio of 20% • Borrower must have a minimum of 50% ownership in the business, individually or combined with a co-borrower • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history

IRS Form 1099	- Borrowers receiving 1099 income are eligible if they are individuals paid via 1099 but are not business owners of the entity issuing the 1099; and meet the required 2 most recent consecutive full years of employment with the same employer(s) 1 or 2 Years' 1099 - Fixed Expense Ratio of 10% - YTD documentation to support continued receipt of income from each employer or NQMF VOE when 1099 is > 90 days from the Note date - Not permitted for Investment Properties
Asset Utilization (Standalone only)	- May not be used as supplemental income - Not permitted for Investment Properties - Qualified Assets must be seasoned for 3 months - Monthly Income Calculation: - Net Qualified Assets / 84 Months <u>Restrictions:</u> - Cash Out transactions are ineligible - Max LTV must be reduced by 10% <u>Ineligible Assets:</u> - Business assets - Unseasoned Foreign Assets - Proceeds from sale of real estate which is not seasoned for a minimum of three (3) months - Privately traded or restricted / non-vested stocks

ASSET AND RESERVE REQUIREMENTS

Assets	- Deposits > 50% of gross income must be documented for purchases. - Business assets may be used when the borrower(s) has 100% ownership of the business; or a borrower has 50% ownership, and their non-borrowing spouse owns the other 50% - Foreign Assets not permitted
Reserves	<= \$500,000 = 3 months PITIA > \$500,000 to \$1,500,000 = 6 months PITIA > \$1,500,000 to \$2,500,000 = 9 months PITIA > \$2,500,000 to \$3,000,000 = 12 months PITIA - Cash Out proceeds may be used to satisfy reserves. - When asset utilization is the sole source of income, reserves are not required. - All reserves must be deposited in a U.S. Financial Institution.
Gift Funds	- Permitted on 1-unit properties only, provided borrower meets the minimum contribution: 5% primary 10% Second Home and Investment Properties - Gift funds may be used for down payment and closing costs: 100% gift funds may be used for down payment and closing costs on a Primary Residence or Second Home when the LTV is <= 75%. - For Investment Properties, gift funds are permitted after meeting the 10% minimum borrower contribution regardless of LTV. - Gift funds are not permitted to be used towards reserves. - Gifts of equity are ineligible - First Time Homebuyer (FTHB) are eligible provided all the respective requirements are met.

PROPERTY REQUIREMENTS

Property Type	Single Family, PUD, Townhome (Attached/Detached)	Single Family residences with 1 or more accessory dwelling unit (ADU) are permitted if subject property is in a municipality that allows. The Appraiser must specifically confirm compliance with local regulations and provide a minimum of 2 similar comparables
	2-4 Units	- Max 75% LTV - Not eligible for First Time Homebuyers - Not eligible for Second Homes

Property Type (Continued)		• 2-4 units with 1 ADU allowed if permitted by the local municipality. The appraiser must specifically confirm compliance with local regulations and provide a minimum of 2 similar comparables.
	Condominiums	• Warrantable Condominiums: Max 75% LTV • Limited review not available. • Non-Warrantable Condos and Condotels are not permitted. • Condominium leaseholds not permitted
Rural Properties	• Primary Residence only • Max 70% LTV • Cash-Out not permitted • See acreage below.	
Appraisals	• A second appraisal required for loans > \$2,000,000 • Appraisal Review Product required on all loans with a FNMA SSR over 2.5 except for those with a full second appraisal	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Max LTV • Cash Out Refinance not permitted in Declining Markets	
Acreage	• Max 10 acres on Primary Residence and Second Homes; 5 acres on Investment Properties	

FLEX SELECT

PRIMARY RESIDENCE				
Min Credit Score	Max Loan Amount	Max LTV / CLTV Purchase / Rate & Term	Max LTV / CLTV Cash-Out Refinance	Property Type
760	2,000,000	90	80	Single Family, PUD, Manufactured Housing, Condominiums (Warrantable and non-Warrantable), Condotels Co-ops and 2-4 Units <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	90	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	90	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	85	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	80	75	
	2,000,000	80	75	
	2,500,000	75	70	
	3,000,000	70	65	
660	1,000,000	80	70	
	1,500,000	75	65	
	2,500,000	70	60	
SECOND HOME				
Min Credit Score	Max Loan Amount	Max LTV / CLTV Purchase / Rate & Term	Max LTV / CLTV Cash-Out Refinance	Property Type
760	2,000,000	85	80	Single Family, PUD, Manufactured Housing, Condominiums (Warrantable and Non- Warrantable), Co-ops, Condotels <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	80	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	75	70	
	2,000,000	75	70	
	2,500,000	70	65	
	3,000,000	65	60	
660	1,000,000	75	65	
	1,500,000	70	60	
	2,500,000	65	55	

INVESTMENT PROPERTY				
Min Credit Score	Max Loan Amount	Max LTV Purchase / Rate & Term	Max LTV Cash-Out Refinance	Property Type
760	1,500,000	85	80	Single Family, PUD, Condominiums (Warrantable and non- Warrantable), Co-ops, Condotels and 2-4 Units <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
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	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	80	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	75	70	
	2,000,000	75	70	
	2,500,000	70	65	
	3,000,000	65	60	
660	1,000,000	75	65	
	1,500,000	70	60	
	2,500,000	65	55	

OVERVIEW

The Flex Select Program is designed to cover the widest range of income documentation types, housing history, and other program specific options.

GEOGRAPHIC RESTRICTIONS

DC	Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
FL	- Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. - Charlotte, Lee, Hendry, and Glades Counties: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	- Cook County: Effective July 2, 2025, all occupancies are ineligible. - Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
IN	Indianapolis: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
MD	Baltimore City: Effective July 2, 2025, all occupancies are ineligible.
NJ	Patterson: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
NY	- Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. - All originations are restricted as follows: - Brooklyn: Effective July 29, 2025, Investment Properties are ineligible, including DSCR. - Orange County: Effective July 2, 2025, all occupancies are ineligible. - No 5/6 ARMs on Investment Property loans below the FNMA loan limit. - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).

TX	- Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible - Lubbock: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
GENERAL REQUIREMENTS	
Exceptions	Permitted except for P&L Only and Express DU
Product Type	40 Year Fixed, 30 Year Fixed, 15 Year Fixed 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) 5/6 SOFR ARM, 30 Year Term – Fully Amortizing 5/6 SOFR ARM I/O, 30 Year Term and 40 Year Term 40 Year products and terms are not permitted for Manufactured Housing - I/O products are not available for Express (DU)
Interest Only (I/O)	- Min Credit Score: 680 - Max LTV: 80% - Max DTI 50% - Not permitted on Manufactured Housing
Loan Amounts	- Minimum: \$125,000 and Max \$3,500,000 - Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV
2-1 Buydown	- Purchase Only - Minimum Score 680 - Max LTV 80% - Max DTI 50% 30 Year Fixed Only - Qualify using Note Rate - Primary Residence, Second Home and Investment Properties - Seller or Builder Funded Only - Lender Paid or 3rd Party Buydowns are permitted for Correspondent Clients only
Occupancy	Primary Residence , Second Home, and Investment Property
Loan Purpose	Purchase, Rate & Term Refinance, Cash Out Refinance, and Debt Consolidation
Cash Out Refinance	- Minimum of six (6) months seasoning from most recent transaction. - Max cash-out (defined as cash in hand): - If LTV <= 60% = Unlimited - If LTV > 60% = Max \$1,000,000 or unlimited with 18 months reserves exclusive of cash back - Condos: Max 75% LTV - Condotel: See Condotels below for LTV limitations.
Interested Party Contributions	- Primary Residence and Second Homes: <= 75% LTV = 9% > 75% = 6% - Investment = 6%
Subordinate Financing	Permitted on Primary Residence and Second Homes only
Escrow Waivers	- Waiving escrows for taxes and insurance* is allowed on non-HPML loans if housing/rental history is 0x30x12, up to 80% LTV - CA: Minimum score 700, up to 90% LTV - Waiver of escrows is not permitted on the following: - Flood Insurance premiums for properties located in zones A or V - Note however that taxes and hazard escrows can be waived provided the escrow waiver requirements are met and the loan is priced with an escrow waiver *Elective flood insurance policies for properties not located within a flood map/zone which does not require flood insurance coverage, are not required to be escrowed.
Prepayment Penalty	- Required on Investment Properties when permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. - No PPP – permitted Correspondent only
Age of Loan Documentation	- Credit: 120 days - Income and Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Alien • Non-Permanent Resident Alien	<u>Ineligible:</u> • ITINs • DACA • Foreign Nationals
Non-Occupant Co-Borrower	• Primary Residence only • Max DTI Total DTI 50% • No Cash-Out Refi ; Rate & Term Refinance (non-occupant must be on current loan) • Non-occupant co-borrower must be a relative • Max Loan Amount \$1,000,000	
First Time Homebuyer (FTHB)	• Permitted to a max loan size of \$1,500,000 on Primary Residence, Second Homes, and Investment Properties	

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score 660 is required • The Representative Score is based on the primary wage earners'* credit score, qualify as follows: ◦ Middle of 3 credit scores or lower of 2 credit scores • Additional borrowers must have a minimum credit score of 600 • P&L Only: all borrowers must have a minimum credit score of 700 • * For Asset Utilization use the highest Representative Score for all borrowers
Tradelines	• Tradeline requirements are waived with three (3) credit scores • Spouses may combine trades • Primary borrower has 3 credit scores: or • 2 open and reporting trades 24 months; or • 3 open and reporting trades 12 months; or • 24-months mortgage rating reporting on credit report

Housing History and Housing Event Seasoning Restrictions

Housing History	1x30x12	2 x 30 x 12	0x60x12	0x90x12 Primary Residence Only
BK/FC/SS/DIL/Mod	>=4 Years	>= 3 Years	>= 2 Years	>= 1 Year
Max LTV/CLTV	90%	80%	70%	65%
Max LTV Cash Out	80%	75%	70%	NA
Max Loan Amount	\$3,500,000	\$3,000,000	\$2,000,000	\$2,000,000

The above chart displays the options available for a borrower that has experienced a housing event and/or housing delinquency. Example: a borrower can have rolling 30 day lates on prior housing in the last 12 months and qualify with a 0x60x12.

DTI AND RESIDUAL INCOME REQUIREMENTS

DTI Requirements	• Max 50% • 40 Year Fixed Must Qualify as a 30 Year at <= 55% DTI. • 55% DTI (>50% to 55%) with the following restrictions: ◦ Minimum credit score 680 ◦ Max 80% LTV ◦ 0x30x12 ◦ Interest-Only is not permitted ◦ Max loan amount \$2,500,000 ◦ 40 Year term not permitted ◦ 4 years seasoning for housing events required ◦ 2-1 Temporary Buydowns are not permitted ◦ Minimum monthly residual income of \$3,500 is required.
Residual Income	• Applies to HPML loans or when the DTI > 43% on Primary Residence and Second Homes only • Defined as Gross Monthly Income less Total Monthly Obligations • Requirement based on # in household: ◦ 1 person = \$1,500

	○ 2 persons = \$2,500 ○ Add \$150 per additional household member (related or unrelated)
INCOME REQUIREMENTS	
General Requirements	
Self-Employment History	• Self-employment history of ≥ 2 years is required. If self-employment history is < 2 years • Self-employment 18+ months with 3+years prior experience in the same line of business • Self-employed borrowers in a licensed profession (i.e., Medical, Legal, Accounting) will be considered from a business that has been in existence for less than two (2) years, but greater than one (1) year provided the borrower meets the following requirements: ○ Borrower has at least three (3) years of documented previous experience in the same profession, or ○ Evidence of formal education in a related field, and ○ Minimum credit score: 700; Max LTV: 80% Primary Residence / 75% Second Home / 70% Investment Properties
Full Documentation	
Wage Earners	• 30 days of paystubs reflecting YTD earnings, 1 or 2 years W-2 or an electronic verification of employment, W-2 Transcripts and a fully executed and signed IRS Form-4506C
Self-Employment	• 1 or 2 years of personal and business Federal Tax Returns, YTD P&L, Tax Transcripts , 2 months of most recent bank statements to support the income on the P&L
Rental Income	• Rental income on the Tax Returns: ○ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent years 'income will be used for qualifying ○ Cash flow Analysis of the Schedule E should be completed • Rental Income NOT on the Tax Returns: ○ Evidence of borrower's ownership of the property ○ For a refinance and/or to document rental income on other REOs: ▪ Lease agreement ▪ Two months of bank statements demonstrating receipt of rental income. ▪ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source. ▪ 75% of the rental amount on the lease is used for qualifying
Alt Doc - Income Requirements	
Personal Bank Statements	• 12 or 24 months of personal and 2 months of business bank statements • Qualifying income is determined by the total eligible deposits from the 24 or 12 months of personal statements divided by the number of statements • The business bank statements must reflect business activity and transfers to the personal account
Business/Co-Mingled Bank Statements	• 12 or 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ○ Fixed Expense Ratio (50%); OR ○ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 20%, OR ○ 3rd party prepared Profit & Loss Statement (CPA or EA) min ratio of 20%
P&L Plus 2 Months Bank Statements	• Max 80% LTV • 12 or 24 months P&L; prepared by CPA/EA or PTIN licensed tax preparer • CPA/EA/PTIN licensed tax preparer must also attest to having prepared the borrower's most recent tax returns • Verbal verification of P&L is required prior to closing • Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L • Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income • Minimum of 2 months business bank statements • The monthly gross revenue on the P&L must be supported by the bank statements • Minimum expense ratio is 10%
P&L Only	• Exceptions are not permitted. • Not permitted for borrower's with less than 2 years in the current business

P&L Only (Continued)	• Max Loan Amount \$1,500,000 • 700+ credit score required for all borrowers • Max LTV is the lesser of the LTV on the Program Matrix or: ○ 80% Primary Residence ○ 75% Second Home and Investment Properties • 12 or 24 months P&L prepared by CPA/EA or PTIN licensed tax preparer • Minimum expense ratio is 10% • CPA/EA/PTIN licensed tax preparer must also attest to having prepared the borrower's most recent tax returns • Verbal verification of P&L is required prior to closing. • Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L • Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income	
IRS Form 1099	• 1 or 2 years IRS Form 1099 • Fixed Expense Ratio of 10%	• YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the note date
WVOE	• Maximum loan amount \$1,500,000 • Minimum credit score 680 for Primary Residence max 80% LTV; Second Home and Investment Property max 75% LTV • 0x12x30 housing history is required; borrowers without a housing history are not permitted • Family members or related individuals may not employ borrowers • W2s, Federal Tax Returns, Paystubs, 4506-C are not required • Borrowers may not have any other active source of income; passive income such as rental income may be included • Written Verification of Employment (WVOE) – FNMA 1005 completed with the past 2 years of income/employment. Form must be completed by Human Resources, Payroll, or an Officer of the Company: ○ Two (2) most recent months of bank statements supporting at least 65% of the gross wages reflected in the WVOE ○ Verification of delivery and receipt of the FNMA Form 1005 required • One-year history with the same employer with a minimum of two (2) years in the same line of work	
Asset Utilization	• Qualified Assets must be seasoned for 3 months • Purchase/Rate & Term Refinance: ○ > 85%LTV permitted per the matrix provided when the DTI is <=60% without using assets for income • <u>Option 1: DTI calculation:</u> ○ When the DTI without Asset Utilization is <= 60%, follow the below calculation when determining the amount of income to use as secondary income ○ Monthly Income Calculation: ▪ Net Qualified Assets / 36 Months • <u>Option 2: DTI calculation:</u> ○ When the DTI without Asset Utilization is > 60% or when the borrower's entire income is comprised of income from assets. ○ Monthly Income Calculation: ▪ Net Qualified Assets / 60 Months	

ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Large deposits > 50% of gross income) must be documented on purchase transactions
Reserves	• <= \$500,000 = 3 months PITIA w/LTV <= 80% • <= \$500,000 = 6 months PITIA w/LTV > 80% • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • > \$2,500,000 to \$3,500,000 = 12 months PITIA • Cash Out proceeds may be used to satisfy reserves

	When Asset Utilization is the sole source of income, reserves are not required
Gift Funds	- Gift funds permitted provided borrower meets minimum contribution: 5% primary 10% Second Home and Investment Properties 100% Gift Funds may be used for down payment and closing cost for Primary Residence and Second Home when the LTV U.S. <=to 80% - Investment Properties, gift funds are permitted after meeting the minimum 10% borrower contribution regardless of LTV - Gift funds are not permitted to be used towards reserves - Gift of Equity permitted for Primary Residence only

PROPERTY REQUIREMENTS

Property Types	Single Family, PUD, Townhouse (Attached/Detached)	- Single Family residences with 1 or more accessory dwelling units (ADU) are permitted if subject property is in a municipality that allows. - The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables - Refer to 2-4 Units below	
	2-4 Units	- Lower of Matrix LTV or max 85% LTV 2-4 units with 1 ADU are permitted if subject property is in a municipality that allows. - The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables	
	Condominium	- Warrantable / Non-Warrantable: - Purchase & Rate & Term Refinance: Max 85% LTV - Cash Out: 75% LTV - Limited Review Established Condos Outside of Florida (Warrantable) LTV/CLTV Limits where the building has 5+ units: - Primary Residence 85% - Second home and Investment Property 75% - Limited Review <u>Established Condos in Florida</u> (Warrantable) LTV/CLTV Limits: - Primary residence 75%/90% - Second home and Investment Properties: 70%/75% - Condominium leaseholds not permitted	
	Condotel	<u>Primary Residence</u> - Purchase or Rate & Term Refinance: - Lesser of Matrix LTV or Max 85% LTV - Cash-Out: - Lesser of Matrix LTV or Max 75%	<u>Second Home & Investment Property</u> - Purchase or Rate & Term Refinance: 700+ credit score; lesser of Matrix LTV or Max 75%LTV 680-699 credit score; lesser of Matrix LTV or Max 70% LTV - Cash Out Refinance: 700+ credit score; lesser of Matrix LTV or Max 65% LTV 680-699 credit score; lesser of Matrix LTV or Max 60% LTV
		- Must have a full kitchen & a separate bedroom. - Must be in a resort area or affiliated with a national hotel chain - Max Loan Amount \$1,500,000	
	Co-ops	- Eligible for the Delegated Correspondent Channel ONLY - Correspondent Clients must use its own Closing Plan Codes - Available in New York City - 5 Boroughs ONLY: Bronx, Brooklyn, Manhattan, Queens & Staten Island - Max 80% LTV	
		- Eligible for the Delegated Correspondent Channel ONLY - Correspondent Clients must use its own Closing Plan Codes. - Requirements:	

Property Types (Continued)	Manufactured Housing	- Min 20' wide (Double-wide), min 750+ sq ft, must meet "HUD Code" including being built on a permanent chassis, installed on a permanent foundation, and title as real estate - May not be older than 15 years - May not be if in need of repairs (as per the appraisal) of more than 5% of the property value - Eligible Transactions: - Cash Out not permitted, Primary Residence and Second Home only, minimum credit score 680, Max 80% LTV - Investment property and Interest Only loans are not permitted
Rural Properties	- Rural properties permitted for Primary Residence up to 80% LTV; max 20 acres - Second home and Investment Properties may be considered when the subject has <= 2 acres up to a max LTV of 75%	
Appraisals	- Second appraisal required for loans > \$2,000,000 - Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5, except for those with a full second appraisal	
Declining Markets	As identified by the appraiser, require a 5% LTV reduction off the matrix when > 65% LTV	
Acreage	Max 20 acres Primary Residence & Second Home; max 5 acres Investment Properties	

EXPRESS (DU) - REQUIREMENTS

Express (DU)		
Follow Flex Select where silent in this section.		
Underwriting Method	- FNMA DU only - P&L income type is in eligible - Eligible DU Findings – Approve/Eligible and Approve/Ineligible. - Ineligible results are only permitted for items such as loan size, LTV limits, loan purpose or feature. DU cannot be ineligible for a credit event or due to risk factors. - Credit score used to qualify is the credit score from the primary borrower - Extenuating circumstances for derogatory credit are not eligible, i.e., cannot instruct DU to disregard information on credit report(s) to receive an Approve/Eligible - Seller negotiated criteria/variances with FNMA are not eligible - Non -Delegated Correspondents are responsible for providing the DU Findings with the loan submission, and must match the final terms of the loan.	
LTV/Score Eligibility	740-759 credit scores are ineligible for loans with LTV > 85% ; follow standard program requirements	
Max Loan Amount & LTV	- Max Loan Amount = \$2,000,000 - Max LTV = 90% LTV (minimum 760 credit score for LTVs > 85%) > 85% LTV = Max loan amount is \$1,500,000 - First time homebuyer max loan amount \$1,500,000	
Interest-Only	Not permitted	
Exceptions	Not permitted	
ITIN	Not eligible	
Non-Occupant Co-Borrower	- Primary Residence only - Purchase and Rate & Term Refinance only (non-occupant must be on the current mortgage for a Rate & Term Refinance refinance) - Non-occupant co-borrower must be a relative - Max 90% LTV - The occupying borrower and non-occupant co-borrower ratios may be blended to a max of 50% DTI - Max loan amount \$1,000,000 - Use the primary borrower's credit score, whether it be the occupant or the non-occupying co-borrower	
Credit/Housing Events	Follow AUS except for housing history must be 0x30x12 and no extenuating circumstances for Bankruptcy or Housing Event	
Housing History	0x30x12 - DU may waive the requirements for a rental history on certain DU casefiles, documentation is still	

	required to support a 0x30x12 history. It is permissible to allow the waiver of cancelled checks for private party VORs when permitted per DU
Income	• Max DTI: 50% • Follow program documentation requirements • Follow program DTI restrictions • Transcripts required for the number of years of income used to qualify on Full Doc loans • P&L Only not eligible • Self-employment < 2 years not eligible
Reserves	• LTVs > 85%: ◦ Up to \$1,500,000 with 760+ credit score = 6 months PITIA • LTV <= 85%: ◦ Loans <= \$2,000,000 follow DU Findings ◦ Loans > \$2,000,000 must meet product reserve requirements
Appraisal	• Reduced Condo Reviews are not permitted. Appraisal waivers (PIW) are not permitted

SELECT ITIN

PRIMARY RESIDENCE					
Credit Score	Max Loan Amount	Max LTV Purchase & Rate/Term		Max LTV Cash-Out Refinance	Property Type
		Full Doc	Alt Doc	Full / ALT Doc	
740	1,500,000	85	80	80	Single Family , PUD, Warrantable and Non-Warrantable Condominiums
	2,000,000	80	80	80	
	2,500,000	75	75	70	
720	1,500,000	85	80	80	
	2,000,000	80	80	75	
	2,500,000	60	60	60	
700	1,500,000	85	80	80	
	2,000,000	70	70	70	
680	1,500,000	80	80	75	
660	1,500,000	75	75	65	
720	1,500,000	80	80	75	2-4 Units
	2,000,000	75	75	60	
700	1,500,000	80	80	70	
	2,000,000	70	70	60	
680	1,500,000	75	75	70	
SECOND HOME					
Credit Score	Max Loan Amount	Max LTV Purchase / Rate & Term		Max LTVCash-Out Refinance	Property Type
720	1,500,000	75		70	Single Family , PUD, Warrantable and Non-Warrantable Condominiums
	2,000,000	75		60	
700	1,500,000	75		70	
	2,000,000	70		60	
660	1,500,000	70		60	
INVESTMENT PROPERTY					
Credit Score	Max Loan Amount	Max LTV Purchase / Rate & Term		Max LTVCash-Out Refinance	Property Type
700	1,500,000	75		70	Single Family, PUD Warrantable and Non-Warrantable Condominiums, 2-4 Units
	2,000,000	75		70	
	2,500,000	70		65	
680	1,500,000	70		65	
	2,000,000	70		65	
	2,500,000	65		60	
660	1,500,000	70		60	
	2,000,000	60		N/A	

OVERVIEW

The Select ITIN Program is designed specifically for the ITIN borrower (including DACA) to provide financing solutions for this specific group of borrowers.

GEOGRAPHIC RESTRICTIONS

DC	• Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
FL	• Charlotte, Lee, Hendry, and Glades Counties: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.

HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegates Correspondents and Wholesale.
IL	- Cook County: Effective July 2, 2025, all occupancies are ineligible. - Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
IN	Indianapolis: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
MD	Baltimore City: Effective July 2, 2025, all occupancies are ineligible.
NJ	Patterson: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
NY	- Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. - All originations are restricted as follows: - Brooklyn: Effective July 29, 2025, Investment Properties are ineligible, including DSCR. - Orange County: Effective July 2, 2025, all occupancies are ineligible. - No 5/6 ARMs on Investment Property loans below the FNMA loan limit. - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	- Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible - Lubbock: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.

GENERAL REQUIREMENTS

Exceptions	Permitted
Product Type	15 Year Fixed, 30 Year Fixed, Fully Amortizing 30 Year Fixed I/O (10 Year I/O period, and remaining term fully amortizing) 5/6 SOFR ARM 30 Year Term – Fully Amortizing 5/6 SOFR ARM I/O - 30 Year Term - Interest Only Products listed above: Qualify off fully amortizing payment.
Express (DU)	Not Eligible
Interest Only	- Min Credit Score: 680 - Max LTV: 80%
Loan Amounts	- Minimum: \$125,000 and Max \$2,500,000 - Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV
2- 1 Buydown	- Purchase Only - Full Doc and Bank Statement Only - Minimum Credit Score 680 - Max LTV 80% - Max DTI 50% 30 Year Fixed Only - Qualify using Note Rate - Primary Residence, Second Home and Investment Properties. - Seller or Builder Funded Only - Lender Paid or 3rd Party Buydowns are permitted for Correspondent Clients only.
Occupancy	Primary, Second Home; and Investment Property
Loan Purpose	Purchase, Rate & Term Refinance, and Cash Out Refinance
Cash Out Refinance	- Minimum of six (6) months seasoning from most recent mortgage transaction. - Max cash-out (defined as cash in hand): - If LTV <= 60% = Unlimited - If LTV > 60% = Max \$1,000,000 (Not eligible with Express/DU opt for unlimited cash-out with 18 months additional reserves) - Condos – Max 75% LTV
Interested Party Contributions	- Primary Residence and Second Homes: <= 75% LTV = 9% > 75% = 6% - Investment: ALL = 6%
Subordinate Financing	Not Permitted

Escrow Waivers	• Not permitted
Prepayment Penalty	• Required on Investment Properties when permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. • No PPP – Correspondent Only
Age of Loan Documentation	• Credit: 120 days • Income and Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • ITIN must be valid and at least 2 years consistent ITIN payments reporting to the IRS is required. This can be validated with the borrower’s current ITIN # along with a 2 year employment history • Multiple borrowers - one borrower must have ITIN • DACA is eligible with ITIN / SSN with Valid U.S. driver’s license along with EAD card evidencing their DACA status <u>Ineligible:</u> • Irrevocable or Blind Trust • Inter-Vivos Revocable Trust • Non ITIN borrowers
Borrower Documentation Requirements	• Government photo ID from U.S. or eligible country of origin ◦ Examples include Government license, passport, matricular consular, etc. A Visa is not required in addition to the above for an ITIN borrower • ITIN card or letter from the IRS ◦ ITIN is required to be assigned to the borrower prior to application • All documentation in the file must support the borrower’s ITIN number and cannot reference a SSN belonging to another individual • Evidence of unexpired ITIN can be accomplished as follows: ◦ Full Doc/1099 loans: Current executed transcripts will validate the borrower’s current ITIN status • Alt Doc loans: Provide one of the following: ◦ IRS letter dated within the last 3 years ◦ Fully executed W7, including agent’s signature ◦ Letter from licensed tax preparer confirming they have filed the borrower’s most recent Federal Tax Return
Non-Occupant Co-Borrower	• Primary Residence Only • Rate & Term Refinance Refi (non-occupant co-borrower must be on current loan) • Max Total DTI 50% (Max 65% DTI for Occupying Borrower) • Non-occupant co-borrower must be a relative • Max Loan Amount \$1,000,000
First Time Homebuyer (FTHB)	• Permitted to a maximum loan size of \$1,500,000 on Primary Residence, Second Home and Investment Properties

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score 660 for primary borrower • Additional borrowers must have a minimum credit score of 600 • A minimum of 2 credit scores is required: ◦ 1 credit score is permitted when the credit report has sufficient tradeline activity, defined below in the Tradelines section • The Representative Credit Score is based on the primary borrowers’ credit score; qualify as follows: ◦ Middle of 3 credit scores or lower of 2 credit scores ◦ 1 credit score, use as the Representative Credit Score
Tradelines	• Tradeline requirements are waived with three (3) credit scores • Spouses may combine trades • Authorized user accounts and/or collections and charge-offs are not considered a valid trade. • When only 1 or 2 credit scores are available, minimum tradelines are required:

	3 trades reporting for 12+ months, OR 2 trades reporting for 24+ months, OR 2 year mortgage history
Non-Traditional Credit	- If the borrower is unable to meet the above requirements, borrower may qualify using Non-Traditional Credit as defined below: - A minimum of 2 credit scores is required - Loan amount < = \$1,500,000 - The credit history must include 3 credit references covering the most recent 12 months from the date of application supported with cancelled checks or bank statements. - Acceptable tradelines may be mortgage/rental verification; utilities such as electricity, gas, water, telephone service, television, and internet service providers. If utilities are included in the rental housing payment, they cannot be considered a separate source of nontraditional credit. - It is permissible to combine trades from the credit report with non-traditional credit to meet the tradeline requirement.
Housing History	0x30x24
Housing / Credit Events	4 years seasoning is required

DTI AND RESIDUAL INCOME REQUIREMENTS

Max DTI	Max 50%
Residual Income	- Requirement based on # in household - Defined as Gross Monthly Income less Total Monthly Obligations - Applies to HPML loans or when the DTI > 43% on Primary Residence and Second Homes only: 1 person = \$1,500 2 persons = \$2,500 - Add \$150 per additional household member (related or unrelated)

INCOME REQUIREMENTS

Full Doc Income Requirements	
Wage Earners	- Fully written verification of employment signed IRS Form-4506C and 1 or 2 years Tax Transcripts - Providing documentation with a SSN not belonging to the borrower will render the file ineligible for purchase
Self-Employment	1 or -2 years 1040s plus Tax Transcripts, YTD P&L, plus 2 months bank statements, K-1s and Schedule E for all business entities prior 1-2 years if >=25% ownership
Rental Income	- Rental income on the Tax Returns: - When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying - Cash flow Analysis of the Schedule E should be completed - Rental Income NOT on the Tax Returns: - Evidence of borrower's ownership of the property - For a refinance and/or to document rental income on other REOs - Lease agreement - Two months of bank statements demonstrating receipt of rental income. - Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source - Primary Residence and Second Homes: - May add 75% of gross rent to borrowers qualifying income - Investment property: - Income used to qualify is 75% of the lesser of documented rent or market rent per appraisal
Alt Doc Income Requirements	
Personal Bank Statements	12 or 24 months of personal and 2 months of business bank statements. The business bank statements must reflect business activity and transfers to the personal account - Qualifying income is determined by the total eligible deposits from the 24 or 12 months of personal statements divided by the number of statements
	12 or 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods:

Business Bank Statements	○ Fixed Expense Ratio (50%); OR ○ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 20%, OR ○ 3rd party prepared Profit & Loss Statement (CPA or EA) min ratio of 20%
IRS Form 1099	• 1 or 2 years 1099 • Fixed Expense Ratio of 10% YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the note date
Asset Utilization	• May be combined with Full Doc Income as primary source of income up to 85% LTV • Qualified Assets must be seasoned for 3 months • Monthly Income Calculation: ○ Net Qualified Assets / 60 months

ASSETS AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Deposits > 50% of gross income must be documented on purchases
Reserves	• <= \$500,000 = 3 months PITIA w/LTV <= 80% • <= \$500,000 = 6 months PITIA w/LTV > 80% • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • Cash Out proceeds may be used to satisfy reserves. • When Asset Utilization is the sole source of income, reserves are not required.
Gift Funds	• Gift funds permitted provided borrower meets minimum contribution: ○ 5% primary ○ 10% Second Homes • 100% gift funds may be used for down payment and closing costs on a Primary Residence or Second Home when the LTV is <= 75%. • Gift funds are not permitted to be used towards reserves. • Gift of Equity permitted for Primary Residence transactions only.

PROPERTY REQUIREMENTS

Property Type	Single Family, PUD or Townhouse (Attached or Detached)	• Single Family, PUD or Townhouse: ○ Purchase: Max 85% LTV for Primary only ○ Rate & Term Refinance: Max 80% LTV • Single Family residences with 1 or more accessory dwelling unit (ADU) are permitted if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables. • Refer to 2-4 Units below.
	Condominiums	• Condos – Non-Warrantable: ○ Max LTV is the lesser of the Matrix LTV or 75% LTV • Purchase and Rate & Term Refinance: ○ Primary Residence = Max LTV 75% ○ Second Homes & Investment Property = Max LTV 70% ○ Condos – Warrantable: Outside of Florida, Max 80% LTV ○ Limited Review Condos: Max 75% LTV • Condominium leaseholds not permitted
	2-4 Units	• 2-4 Units: Max 80% LTV • 2-4 units with 1 ADU are permitted if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.
Rural Properties	• Rural properties permitted for Primary Residence up to 80% LTV. • Second home and Investment Properties may be considered when the subject has <= 2 acres up to a max LTV of 75%.	
Appraisals	• Second appraisal required for loans > \$2,000,000. • Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5, except for those with a full second appraisal.	

Declining Markets	Declining markets, as identified by the appraiser, require a 5% LTV reduction off Program Matrix Max LTV when > 65% LTV.
Acreage	Max 20 acres for Primary Residence & Second Home; Max 5 acres Investment Properties .

SUPER JUMBO

PRIMARY RESIDENCE					
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase	Max LTV/CLTV Rate & Term	Mx LTV/CLTV Cash-Out	Property
740	\$3,500,001 - \$4,000,000	70	70	60	SFR, PUD, Warrantable & Non-Warrantable Condo
720		65	65	55	
740	\$4,000,001 - \$4,500,000	65	65	55	
720		60	60	50	
740	\$4,500,001 - \$5,000,000	65	65	55	
720		60	60	50	

OVERVIEW

The Super Jumbo Program is a specialty program for high-net-worth borrowers with solid and stable income and credit, as well as considerable assets to cover down payment, closing costs and reserves

All loans must be approved by the NQM Funding, LLC Credit Committee.

GEOGRAPHIC RESTRICTIONS

FL	• Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible.
HI	• Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	• Cook County: Effective July 2, 2025, all occupancies are ineligible. • Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
MD	• Baltimore City: Effective July 2, 2025, all occupancies are ineligible.
NY	• Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. • All originations are restricted as follows: ○ Orange County: Effective July 2, 2025, all occupancies are ineligible.
TX	• Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible

GENERAL REQUIREMENTS

Exceptions	• Not Permitted
Product Type	• 30 Year Fixed Fully Amortizing • 40 Year Fixed IO (10 year I/O period, and remaining term fully amortizing)
Interest Only	• Eligible with no additional requirements
Loan Amounts	• Min \$3,500,001 – Max \$5,000,000
2-1 Buydown	• Not permitted
Occupancy	• Primary Residence only
Loan Purpose	• Purchase, Rate & Term Refinance and Cash-Out
Cash-Out	• Max cash-out: \$1,500,000 • Cash Out proceeds may not be used to meet reserves
Interested Party Contributions	• 6%
Subordinate Financing	• Not permitted
Escrow Waivers	• Not permitted
Prepayment Penalty	• Not permitted
Age of Loan Documentation	• Credit: 120 days • Income and Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Aliens (U.S. credit only) <u>Ineligible:</u> • ITIN • DACA • Foreign Nationals
Non-Occupant Co-Borrower	• Not permitted
First Time Homebuyer (FTHB)	• Not permitted

CREDIT REQUIREMENTS

Credit Score	- Minimum credit score 720 for all borrowers - The Representative Score is based on the primary wage earners* credit score, qualify as follows: - Middle of 3 credit scores or lower of 2 credit scores *For Asset Utilization use the highest Representative Score for all borrowers.
Tradelines	- Tradeline requirements are not waived when the Primary borrower has 3 credit scores - Each borrower must have a minimum of 3 traditional tradelines rated for at least 12 months, OR 2 trades reporting for 24+ months, OR 24-month mortgage history reporting on credit. - Primary borrower has 3 credit scores; OR - Min 2 open & reporting 24 months; OR 3 open and reporting 12 months; OR 24-months mortgage rating reporting on credit
Housing History	0x30x24
Credit / Housing Events	4 years seasoning required

DTI AND RESIDUAL INCOME REQUIREMENTS

Max DTI	Max 38%
Residual Income	Not required

INCOME REQUIREMENTS

Overall Income Requirements	
Self- Employment	Borrower must have 2 years in the current business
Full Doc - Income Requirements	
Wage Earners	30 days of paystubs reflecting YTD earnings, 1 or 2 years W-2 or an electronic verification of employment, W-2 transcripts and a fully executed and signed IRS Form-4506C
Self-Employment	Self-Employed: 1 or 2 Years of Personal and Business Federal Tax Returns, Year to date P&L, Tax Transcripts, 2 months of most recent bank statements
Rental Income	- Rental income on the Tax Returns: - When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying - Cash flow Analysis of the Schedule E should be completed. - Rental Income NOT on the Tax Returns: - Evidence of borrower's ownership of the property - For a refinance and/or to document rental income on other REOs - Lease agreement - Two months of bank statements demonstrating receipt of rental income. - Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source 75% of the rental amount on the lease is used for qualifying
Alt Doc – Income Requirements	
Personal Bank Statements	24 months of personal and 2 months of business bank statements - Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements - The business bank statements must reflect business activity and transfers to the personal account
Business/Co-Mingled Bank Statements	24 months of business bank statements - Qualifying income is determined by ONE of the following analysis methods: - Fixed Expense Ratio (50%); OR - Expense Ratio provided by a 3rd party (CPA or EA) min ratio of 20%, OR 3rd party prepared Profit & Loss Statement (CPA or EA) min ratio of 20%
Asset Utilization	- Allowed as sole source of income only - Assets must be seasoned for 3 months - Monthly Income Calculation: - Net Qualified Assets /84 Months

ASSET AND RESERVE REQUIREMENTS

Assets	30-day asset verification required
Reserves	> \$3,500,000 to \$4,000,000: 12 months min PITIA reserves > \$4,000,000 to \$5,000,000: 18 months min PITIA reserves - Cash-Out proceeds may not be used to meet reserves
Gift Funds	Permitted after 20% minimum borrower contribution towards down payment, closing costs, prepaids; and reserves must be met from Borrower's own funds

PROPERTY REQUIREMENTS

Property Types	Single Family 1-Unit, PUD, Townhouse (Attached/ Detached)	- Single Family residences may have a max of 1 accessory dwelling unit (ADU)) are permitted if subject property is in a municipality that allows. - The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables
Property Types (Continued)	Condo (Warrantable/ Non-Warrantable)	- Permitted; no additional restrictions - Condominium leaseholds are not permitted

Rural Properties	• Not permitted
Appraisal Requirements	• Two (2) Full Appraisals (interior/exterior)
Declining Markets	• Purchase and Rate & Term Refinance: the lesser of matrix LTV or max 65%. • Cash-Out: the lesser of matrix LTV or max 55%
Acreage	• Max 2 acres

SECOND LIEN SELECT (CLOSED END)

PRIMARY RESIDENCE

Min Credit Score	Max Loan Amount	CLTV	Loan Purpose	Max Exposure w/CLTV > 80%	Max Exposure w/CLTV 70.01-80%	Max Exposure w/CLTV <= 70%	Property Type
740	500,000	85%	Purchase & Rate/Term Refinance	2,000,000	3,500,000	4,000,000	Single Family, PUD
720		80%					
740		85%			3,000,000	3,500,000	Single Family, PUD, Warrantable & Non-Warrantable Condominiums
700		80%					
680		80%					
740	500,000	85%	Cash Out	2,000,000	3,500,000	4,000,000	Single Family
720		80%					
700		80%			3,000,000	3,500,000	Single Family, PUD, Warrantable & Non-Warrantable Condominiums
680		75%					

SECOND HOME

Min Credit Score	Max Loan Amount	CLTV	Loan Purpose	Max Exposure w/CLTV > 80%	Max Exposure w/CLTV 70.01-80%	Max Exposure w/CLTV <= 70%	Property Type
740	500,000	80%	Purchase & Rate/Term Refinance	2,000,000	3,500,000	4,000,000	Single Family, PUD
720		75%					
740		80%			3,000,000	3,500,000	Single Family, PUD Warrantable & Non-Warrantable Condominiums
700		75%					
680		75%					
740	500,000	80%	Cash Out	2,000,000	3,500,000	4,000,000	Single Family, PUD
720		75%					
700		75%			3,000,000	3,500,000	Single Family, PUD Warrantable & Non-Warrantable Condominiums
680		70%					

OVERVIEW

The Second Lien Select Program is designed to cover a range of options for the borrower who desires a closed end second lien loan.

GEOGRAPHIC RESTRICTIONS

FL	Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible.
HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	- Cook County: Effective July 2, 2025, all occupancies are ineligible. - Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
MD	Baltimore City: Effective July 2, 2025, all occupancies are ineligible.
MS	Closed end second liens ineligible.
NJ	Closed end second liens are ineligible.
NY	- Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. - All originations are restricted as follows: - Closed end second liens are ineligible. - Orange County: Effective July 2, 2025, all occupancies are ineligible.
TX	- Second Liens are ineligible; - Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible

GENERAL REQUIREMENTS

Exceptions	Not Permitted
Compliance	- Loans must comply with all applicable federal and state regulations. - Fully documented ATR - Higher-Priced Mortgage Loans (HPML) and Higher-Priced Covered Transactions (HPCT) are permitted subject to complying with all applicable regulatory requirements. - Loans that do not pass the NY Subprime test are ineligible.
High Cost Thresholds	- Loans that are considered High Cost solely due to exceeding the High Cost APR Threshold, provided the Section 32 Loan Disclosure was provided to the Borrower(s) no later than three (3) days prior to closing, will be considered. - Not Permitted: - When the points and fees test exceeds the 5% limitation - Any loan that fails any State High Cost test
Product Type	15, 20, 25 and 30 Year Fixed Terms - Fully Amortizing
Interest Only	Not Permitted
Loan Amounts	Min: \$125,000 – Max \$500,000
2-1 Buydown	Not Permitted
Occupancy	Primary Residence and Second Home
Loan Purpose	Purchase, Rate & Term Refinance and Cash Out Refinance
Cash-Out	- Cash Out with less than six (6) months seasoning is permitted, provided the LTV is based off the lesser of the purchase price or the appraised value - For a refinance transaction paying off an existing subordinate lien, if that subordinate lien was a Cash Out Refinance transaction, a minimum of six (6) months seasoning must elapse prior to the new refinance.
Interested Party Contributions	Not permitted

Senior Lien Product Eligibility	<u>Eligible:</u> • A copy of the first lien note is required to evidence: ◦ Remaining term of five (5) years at time of close (60 payments left). ◦ Interest Only (I/O) First Mortgage must be qualified at the greater of the fully amortizing P&I payment or Note rate. ◦ Whether fully amortizing or interest only, the remaining term must be a minimum of five (5) years (60 payments left) at time of closing. ◦ Financing must not permit the note holder to “call” the loan due within the first five years following the loan closing. • On a stand-alone second, if the mortgage statement or credit report has sufficient information to determine the payment and the terms, a copy of the first lien note is not required. • It is acceptable for our Borrower to have legally assumed a first lien mortgage, and apply for a second lien, if the first mortgage conforms to the eligibility criteria. • For simultaneous transactions, the following is required in the second lien file: ◦ Copies of first lien note and mortgage/deed of trust Final Closing Disclosure for the first lien transaction that corresponds with the final CD for the subject second lien.	<u>Ineligible:</u> • Negative amortization feature • Balloon feature • Material modifications (loan amount, interest rate, final maturity, or product structure regardless of seasoning, except for loans modified under a COVID related event meeting the Modifications and Covid Related Forbearance section. • Amortization term greater than 40 years. • Contract for Deed or Contract for Purchase. • Privately held first lien. • Loans with provisions prohibiting the placement of additional liens on the subject property. • Loans with provisions for future advances.
Escrow Waivers	• Follow First Lien Program requirements. Escrows not required on second liens.	
Prepayment Penalty	• Not permitted	
Age of Loan Documentation	• Credit: 120 days • Income and Assets: 90 days	

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Aliens	<u>Ineligible:</u> • ITIN • DACA • Foreign National
Non-Occupant Co-Borrower	• Not permitted on the first or second lien	
First Time Homebuyer (FTHB)	• Permitted	

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score 680 • The Representative Credit Score is based on the primary borrowers’ credit score; qualify as follows: ◦ Middle of 3 credit scores or lower of 2 credit scores ◦ Additional borrowers must have a minimum credit score of 620
Tradelines	• If the Primary borrower has 3 credit scores, there are no further tradeline requirements. • Otherwise, trades must meet one of the following: ◦ 3 reporting for 12+ months + activity within most recent 12 months (may be closed) ◦ 2 reporting for 24+ with activity within most recent 12 months (may be closed) ◦ 24 months mortgage history reporting on credit report with a credit score
Housing History	• 0x30x24 on all mortgages
Credit / Housing Events	• 4 years seasoning is required

DTI AND RESIDUAL INCOME REQUIREMENTS

Max DTI	• Max 50% Primary Residence • Max 43% Second home
Residual Income	• Primary Residence and Second Home only • Requirement based on # in household • Defined as Gross Monthly Income – Total Monthly Obligations • Applies to HPML loans or when the DTI > 43%: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 ○ Add \$150 per additional household member
I/O First Mortgage Qualifying Requirements	• Interest Only (I/O) First Mortgage must be qualified at the fully amortizing P&I payment

INCOME REQUIREMENTS

Full Doc - Income Requirements	
Wage Earners	• 30 days of paystubs reflecting YTD earnings, 2 years W-2 or an electronic verification of employment, W-2 Transcripts and a fully executed and signed IRS Form-4506C
Self-Employment	• 2 Years personal and business Federal Tax Returns, Year to date P&L, IRS Form 4506, 2 most recent and consecutive bank statements
Rental Income	• Rental income on the Tax Returns: ○ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying. ○ Cash flow Analysis of the Schedule E should be completed • Rental Income NOT on the Tax Returns: ○ Evidence of borrower's ownership of the property ○ For a refinance and/or to document rental income on other: ▪ Lease agreement ▪ Two months of bank statements demonstrating receipt of rental income. ▪ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source ▪ 75% of the rental amount on the lease is used for qualifying
Alt Doc - Income Requirements	
Personal Bank Statements	• 24 months of Personal and 2 months of business bank statements. • Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements • The business bank statements must reflect business activity and transfers to the personal account • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history
Business/Co-Mingled Bank Statements	• 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ○ Fixed Expense Ratio (50%) OR ○ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 20% OR ○ 3rd party prepared Profit & Loss Statement (CPA or EA) min ratio of 20% • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history
P&L Plus 2 Months Bank Statements	• 24 months P&L, prepared by CPA, EA, PTIN licensed tax preparer • Minimum of 2 months business bank statements • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history • Qualifying Income is calculated by determining total deposits per bank statements (minus any disallowed deposits) multiplied by the expense percentage and divided by 24 months

	- The Expense Statement must be prepared and signed by a third party (CPA, EA or PTIN licensed tax preparer) specifying business expenses as a percentage of the gross annual sales/revenue. The tax preparer must attest they have either prepared or reviewed the borrower's most recent tax return. - A minimum 10% Expense Ratio is required.
IRS Form 1099	1 or 2 Years 1099 - Fixed Expense Ratio of 10% - YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the Note date.

ASSET AND RESERVE REQUIREMENTS

Assets	30 days asset verification required. - Large deposits (> 50% of gross income or average deposits) on a bank statement loan must be documented on purchase transactions.
Reserves	6 months' reserves required - Cash Out Refinance may be used to satisfy requirement
Gift Funds	- Gift funds are permitted provided borrower meets the minimum contribution: 5% Primary Residence 10% Second Home - Gift funds not permitted to be used towards reserves

PROPERTY REQUIREMENTS

Property Type	Single Family, PUD or Townhome (Attached or Detached)	Single Family Residence with 1 or more accessory dwelling unit (ADU) are permitted if subject property is in an municipality that allows and 2 similar comparables.
	Condos	- Warrantable & Non-Warrantable permitted. - Non-Warrantable Condominium: reduce 5% from matrix LTV. - Condominium leaseholds are not permitted
	Condotels	Not Permitted
Rural Properties	Not permitted	
Declining Markets	Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when >65% LTV	
Appraisals	Full interior/exterior appraisal required.	
Acreage	Max 20 acres Primary Residence & Second Home; max 5 acres Investment Properties.	

DSCR SUPREME

Min Credit Score	Max Loan Amount	Max LTV Purchase & Rate/ Term	Max LTV Cash-Out Refinance	Property Type
740	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
720	1,500,000	80	75	
	2,000,000	75	70	

OVERVIEW

The DSCR Supreme Program is designed for the most qualified borrowers from a credit standpoint, with less complex transactions.

GEOGRAPHIC RESTRICTIONS

DC	Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
FL	Charlotte, Lee, Hendry, and Glades Counties: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	Cook County: Effective July 2, 2025, all occupancies are ineligible.
IN	Indianapolis: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
MD	Baltimore City: Effective July 2, 2025, all occupancies are ineligible.
NJ	Patterson: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
NY	- Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. - All originations are restricted as follows: - Brooklyn: Effective July 29, 2025, Investment Properties are ineligible, including DSCR. - Orange County: Effective July 2, 2025, all occupancies are ineligible. - No 5/6 ARMs on Investment Property loans below the FNMA loan limit. - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	- Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible - Lubbock: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.

GENERAL REQUIREMENTS

Exceptions	Not Permitted
Product Type	30 Year Fixed Fully Amortizing 30 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) 5/6 & 7/6 SOFR ARMs – 30 Year Terms Only
Interest Only	Borrower to qualify using the I/O payment based on the qualifying rate.
Loan Amounts	Min \$150,000 - Max \$2,000,000
Interested Party Contributions	Max 6%
Subordinate Financing	Not permitted
Occupancy	Investment Properties Business Purpose ONLY
Loan Purpose	Purchase, Rate & Term Refinance, and Cash Out Refinance
2-1 Buydown	Not permitted
Cash Out Refinance	- Minimum of 6 months seasoning from most recent transaction - Must exceed the Rate & Term Refinance thresholds for max cash back: 2% of the loan amount.

	• Max Cash in hand: ○ > 50% LTV: \$1.0M ○ <= 50% LTV: Unlimited • Not permitted in Declining Markets
Insurance Requirements	• In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. • Rent Loss Insurance may be waived with three additional months of PITIA reserves. • Blanket policies covering the subject property are permitted.
Escrow Waivers	• Waiving escrows for taxes and insurance* is allowed if housing/rental history is 0x30x12. • Waiver of escrows is not permitted on the following: ○ Flood Insurance premiums for properties located in zones A or V. ○ Note however that taxes and hazard escrows can be waived provided the escrow waiver requirements are met and the loan is priced with an escrow waiver *Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed
Prepayment Penalty	• Required where permitted. Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	• Credit: 120 days • Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens <u>Ineligible:</u> • ITIN • DACA • LLCs, partnerships, or corporations (may qualify for vesting only) • Trusts or Land Trusts (trusts may qualify for ownership vesting only) • Foreign Nationals • Non-Permanent Resident Aliens
First Time Homebuyer (FTHB)	• Not Permitted
Investor Experience	• Not required
Entity Vesting	• Permitted

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score is 720 • The Representative Score is as follows: ○ Lowest middle score of all borrowers ○ A minimum of 2 scores required ○ Borrowers' with three credit scores: use the lowest middle score of all borrowers to qualify • Borrowers' with 2 credit scores: use the lower of the two scores to qualify
Tradelines	• Tradeline requirements are not waived when the Primary borrower has 3 credit scores. • Each borrower must have a minimum of 3 traditional tradelines rated for at least 12 months, OR 2 trades reporting for 24+ months, OR 24-month mortgage history reporting on credit. • Guidance around tradeline eligibility: ○ Trades must reflect an acceptable payment history with no more than 0x30x12 and minor delinquency permitted in months 13-24. ○ Closed accounts may be used to satisfy the minimum tradeline requirements if payment history is acceptable (provided it was closed in the last 12 months). ○ Deferred accounts (w/o payment history) cannot be used to meet the min requirement. ○ Borrowers who do not meet the requirements above are ineligible for this Program (may be considered under another Program).

Evidence of Primary Residence	• All borrowers must presently maintain a Primary Residence • Borrowers who own a Primary Residence must provide proof of ownership or evidence they are living in a property owned or rented by their spouse/domestic partner • Mortgage and/or rental payments on the subject and Primary Residence not reflected on the original credit report must be documented via an institutional third-party (Verification of Rent or Verification of Mortgage - VOR/VOM) • Borrowers who rent a Primary Residence must provide evidence of an active lease in place • Primary Residence should be supported by one of the following characteristics: ○ In a different geographical location from the subject property; or ○ General appeal and location of the Primary Residence is superior to subject property
Housing History	• 0x30x12
Rent Free	• Rent-free circumstances in which the borrower is not residing with their spouse/domestic partner, will be considered as follows: ○ Refinance transaction: provided the borrower has an established address supported by a rent-free letter from the property owner and there is no suggestion of occupancy in the subject property. ○ On a purchase transaction: When the subject property is in a different geographic area from the residence, or ○ The borrower is an experienced investor with existing REOs
Credit/Housing Events	• Borrowers with significant derogatory credit events must meet the following criteria: ○ All borrowers must have reestablished acceptable credit verified after the credit event. ○ Borrowers with unrelated multiple significant credit events are ineligible ○ Minimum 4 years must have elapsed from the date of the credit event

DSCR RATIO AND RENTAL INCOME REQUIREMENTS

DSCR Ratio	• Min 1.00 • Min 1.15 Short Term Rentals • Min 1.25 First Time Investors ○ An experienced investor must have a history of owning and managing commercial or residential real estate for at least 1 year in the last 3 years otherwise the borrower is considered a first time investor. • DSCR Ratio Calculation: ○ $DSCR\ Ratio = \frac{\text{Short or Long Term Gross Rental Income}}{PITIA\ Fully\ Amortizing\ or\ ITIA\ (for\ IO\ Loans)}$
Lease and Occupancy Requirements	<u>General Requirements:</u> • For all purchase transactions, it is acceptable for property to be vacant; gross market rents from the 1007 / 1025 will be used. ○ If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the current lease • All refinance transactions require the property to be leased. Vacant property is not eligible <u>except</u> for: ○ Properties leased through short term rental agencies; or ○ With evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such. • Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member. • On a Delayed Financing transaction, the property may be unleased at the time of the appraisal
Short Term Rentals (STR)	<u>Short Term Rentals:</u> • Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. • Min DSCR ≥ 1.15 • Max LTV: Lesser of 75% or the Matrix LTV/CLTV • Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs ○ Note: except for the five (5) New York City Boroughs which are ineligible for purchase. <u>Short Term Gross Rental Income:</u> • The following options are available: ○ 1007/1025 or

	○ Alternative Short Term Rent Analysis form developed by an AMC or ○ 12-month look back on rents received using bank statements or third party rental statements • When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents.
Long Term Rentals	Long Term Gross Rental Income: Monthly gross rents are calculated as follows: • If using the lesser of market rents or the lease, nothing further is required • If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120% • If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120% • Refinance: ○ FNMA 1007/1025 required, along with one (1) of the following: ▪ Executed lease with no less than 1 month remaining at time of closing is required for all units in the subject property. Month-to-month tenancy is not subject to this requirement with sufficient evidence (such as a signed extension letter, or 1007, which includes a review of the current lease confirming month-to-month).

ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Atypical deposits do not need to be sourced on DSCR transactions
Reserves	• Reserves PITIA or ITIA, as applicable: ○ ≤ \$500,000 = 3 months ○ > \$500,000 to \$2,000,000 = 6 months • Cash Out proceeds can be used to satisfy reserves
Gift Funds	• Permitted after meeting 10% minimum borrower contribution, regardless of LTV. • Cannot be used to meet reserve requirements.

PROPERTY REQUIREMENTS

Property Type	Single Family, PUD or Townhome (Attached or Detached)	• Single Family properties with 1 or more accessory dwelling unit (ADU) or 2-4 units with 1 ADU are permitted if subject property is in an municipality that allows; • The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables
	Warrantable Condos	• Max 75% LTV • Condominium leaseholds are not permitted
	2-4 Units	• Reduce Matrix LTV by 5% • 2-4 units with 1 ADU are permitted provided the subject property is in a municipality that allows; • The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables
Rural Properties	• Not permitted • Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/	
Appraisals	• Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5 unless there is a second appraisal • > \$2,000,000 requires a full second appraisal • C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV • Cash Out Refinance not permitted in Declining Markets	
Acreage	• Max 2 acres; Acreage and land value must be typical and common for the subject's market.	

INVESTOR DSCR

INVESTMENT PROPERTY (BUSINESS PURPOSE)						
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refinance	Max LTV Cash-Out Refinance	Property Type	
>=1.00 DSCR						
740	<= 100,000	70	70	65	Single Family, PUD, 2-4 Units, Warrantable & Non-Warrantable Condominiums and Condotels	
	>100,000 – 125,000	75	75	70		
	>125,000 - 150,000	80	80	75		
	1,000,000	85	80	75		
	1,500,000	85	75	70		
	2,000,000	75	75	60		
	2,500,000	70	70	60		
	3,000,000	70	70	60		
720	<= 100,000	70	70	65		
	>100,000 – 125,000	75	75	70		
	>125,000 - 150,000	80	80	75		
	1,000,000	85	80	75		
	1,500,000	85	75	70		
	2,000,000	75	75	60		
	2,500,000	70	70	60		
	3,000,000	70	70	60		
700	<= 100,000	70	70	65		
	>100,000 – 125,000	75	75	70		
	>125,000 - 150,000	75	75	70		
	1,500,000	75	75	70		
	2,000,000	70	70	60		
	2,500,000	70	70	60		
	3,000,000	70	70	60		
680	<= 100,000	70	70	65		
	100,000 – 125,000	75	75	70		
	>125,000 - 150,000	75	75	70		
	1,500,000	75	75	70		
	2,000,000	70	70	60		
	2,500,000	70	70	60		
660	<= 100,000	70	65	60		
	100,000 – 125,000	70	65	60		
	>125,000 - 150,000	70	65	60		
	1,000,000	70	65	60		
	1,500,000	65	60	55		
	2,000,000	60	55	50		
< 1.00 DSCR Note Minimum DSCR is .75						
740	1,000,000	75	75	70		Single Family, PUD, 2-4 Units, Warrantable & Non-Warrantable Condominiums and Condotels
	1,500,000	75	75	70		
	2,000,000	75	75	60		
720	1,000,000	75	75	70		
	1,500,000	70	70	65		
	2,000,000	65	65	NA		
700	1,000,000	75	75	70		
	1,500,000	70	70	65		
	2,000,000	65	65	NA		
680	1,000,000	65	65	60		

OVERVIEW

The Investor DSCR Program is designed to cover to cover the widest range of options available to the DSCR investor.

GEOGRAPHIC RESTRICTIONS

DC	Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
FL	- Foreign Nationals and Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. - Charlotte, Lee, Hendry, and Glades Counties: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	Cook County: Effective July 2, 2025, all occupancies are ineligible.
IN	Indianapolis: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
MD	Baltimore City: Effective July 2, 2025, all occupancies are ineligible.
NJ	Patterson: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
NY	- Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. - All originations are restricted as follows: - Brooklyn: Effective July 29, 2025, Investment Properties are ineligible, including DSCR. - Orange County: Effective July 2, 2025, all occupancies are ineligible. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	- Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible - Lubbock: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.

GENERAL REQUIREMENTS

Exceptions	Permitted
Product Type	30 Year and 15 Year Fixed 40-Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) - Max 75% LTV 30-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) - Max 80% LTV
Interest Only	- Minimum Credit Score: 660 when DSCR $\geq$ 1.00 - Minimum Credit Score: 700 when DSCR $<$ 1.00 - Borrower to qualify using the IO payment based on the qualifying rate.
Loan Amounts	- Minimum: \$75,000 and Max \$3,000,000 - Loan Amounts \$75,000 to $<$ \$125,000: 1.00 DSCR Required
Interested Party Contributions	6%
Subordinate Financing	Not Permitted
Occupancy	Investment Properties (Business Purpose)
Loan Purpose	Purchase, Rate & Term Refinance, and Cash Out Refinance
2-1 Buydown	- Purchase Only - Seller Paid Buydown/Concession - Minimum Score 680 - Minimum DSCR $\geq$.75 - Borrower qualifies at fully amortized rate (pre-buydown) - Lender Paid or 3rd Party Paid Buydown (Excluding Real Estate Agents, Brokerages, Borrower, or relatives) permitted for Correspondent Clients only
Cash-Out Refinance	- LTV $>$ 60% = \$1,000,000 or when DSCR is $\geq$.75 unlimited Cash Out Refinance permitted with 18 months reserves exclusive of cash back - LTV $\leq$ 60% = Unlimited - NOTE: that cash-in-hand limits do not apply to Delayed Financing Transactions - Cash Out Refinance refinances on properties acquired in the past 12 months require DSCR of .75 - Condos in FL max LTV 75%

Subordinate Financing	• Not Permitted
Insurance Requirements	• In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. • Rent Loss Insurance may be waived with three additional months of PITIA reserves. • Blanket policies covering the subject property are permitted
Escrow Waivers	• Waiving escrows for taxes and insurance *is allowed if housing/rental history is 0x30x12 up to 80% LTV. ◦ CA: Minimum score 700 • Waiver of escrows is not permitted on the following: ◦ Flood Insurance premiums for properties located in zones A or V. ◦ Note however that taxes and hazard escrows can be waived provided the escrow waiver requirements are met and the loan is priced with an escrow waiver. *Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed.
Prepayment Penalty	• Required on Investment Properties where permitted. Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	• Credit: 120 days • Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Alien (U.S. Credit only)	<u>Ineligible:</u> • ITIN • DACA • Foreign National (Eligible under the Foreign National Program) • LLCs, partnerships, or corporations (may qualify for vesting only) • Trusts or Land Trusts (trusts may qualify for ownership vesting only)
First Time Homebuyer (FTHB)	• Considered on a case by basis	
Investor Experience	• Not Required	
Entity Vesting	• Permitted	

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score is 660 • The Representative Score is as follows: ◦ Lowest middle score of all borrowers
Tradelines	• All borrowers have 3 scores OR: • Minimum 2 open and reporting 24 months; OR • 3 open and reporting 12 months; OR • 24-months mortgage rating reporting on credit
Evidence of Primary Residence	• All borrowers must presently maintain a Primary Residence • Borrowers who own a Primary Residence must provide proof of ownership or evidence they are living in a property owned or rented by their spouse/domestic partner. • Borrowers who rent a Primary Residence must provide evidence of an active lease in place • Primary Residence should be supported by one of the following characteristics: ◦ In a different geographical location from the subject property; or ◦ General appeal and location of the Primary Residence is superior to subject property
Housing History	• 0x30x12 – No LTV reduction • 1x30x12 - 5% LTV reduction
Rent Free	• Rent-free circumstances in which the borrower is not residing with their spouse/domestic partner, will be considered as follows: ◦ On a refinance transaction, provided the borrower has an established address supported by a rent-free letter from the property owner and there is no suggestion of occupancy in the subject property.

	- On a purchase transaction: - When the subject property is in a different geographic area from the residence, or - The borrower is an experienced investor with existing REOs
Credit/Housing Event	>=36 Months: No LTV reductions >=24 Months: - Max 75% LTV Purchase - Max 70% LTV Rate & Term Refinance & Cash Out - Discharged Chapter 13, use filing date; minimum 1 year discharged - Dismissed Chapter 13, use dismissal date

DSCR & RENTAL INCOME REQUIREMENTS

DSCR Ratio	- Loan amounts >= \$75,000 - < \$125,000 require a minimum DSCR of 1.00 - Loan amounts >= \$125,000 require a minimum DSCR of .75 - Minimum DSCR .75 - Short Term Rentals minimum DSCR >= 1.15 - DSCR calculation is as follows: - Debt-Service Coverage Ratio = Short or Long Term Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans)
Lease and Occupancy Requirements	<u>General Requirements:</u> - For all purchase transactions, it is acceptable for property to be vacant; gross market rents from the 1007 / 1025 will be used. - If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the current lease - All refinance transactions require the property to be leased. Vacant property is not eligible <u>except</u> for: - Properties leased through short term rental agencies; or - With evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such. - Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member. - On a Delayed Financing transaction, the property may be unleased at the time of the appraisal
Short Term Rentals (STR)	<u>Short Term Rentals:</u> - Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. - Min DSCR >= 1.15 - Max LTV: Lesser of 75% or the Matrix LTV/CLTV - Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs - Note: except for the five (5) New York City Boroughs which are ineligible for purchase. <u>Short Term Gross Rental Income:</u> - The following options are available: 1007/1025 or - Alternative Short Term Rent Analysis form developed by an AMC or 12-month look back on rents received using bank statements or third party rental statements - When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents
Long Term Rentals	<u>Long Term Gross Rental Income:</u> <u>Monthly gross rents are calculated as follows:</u> - If using the lesser of market rents or the lease, nothing further is required - If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120% - If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120% - Refinance: - FNMA 1007/1025 required, along with one (1) of the following:

- Executed lease with no less than 1 month remaining at time of closing is required for all units in the subject property. Month-to-month tenancy is not subject to this requirement with sufficient evidence (such as a signed extension letter, or 1007, which includes a review of the current lease confirming month-to-month)

ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Atypical deposits do not need to be sourced on DSCR transactions
Reserves	• Loan Amount to \$500,000 and $\leq 80\%$ LTV = 3 months of PITIA • Loan Amount to \$500,000 and $> 80\%$ LTV = 6 months of PITIA • Loan Amount $> \\$500,000$ to $\\$2,000,000$ = 6 months of PITIA • Loan Amount $> \\$2,000,000$ = 12 months of PITIA • 2-4 Units at 80% LTV requires greater of 6 months or reserves indicated above. • Cash Out Refinance may be used to satisfy requirement
Gift Funds	• Permitted after meeting minimum 10% borrower contribution regardless of LTV. • Cannot be used to meet reserve requirements

PROPERTY REQUIREMENTS

Property Types	Single Family, PUD or Townhouse (Attached or Detached)	• Single family properties with 1 or more accessory dwelling unit (ADU) or 2-4 units with 1 ADU are permitted if subject property is in an municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables	
	2-4 Units Restrictions	• 2 Units - Refinance: ◦ Max LTV: 80% • 3-4 Units - Refinance: ◦ ≥ 1.00 DSCR = Max LTV 75% • < 1.00 DSCR = Max LTV 70%	
	Condos (Warrantable and Non-Warrantable)	• Ineligible for $> 80\%$ LTV <u>Purchase and Rate & Term Refinance:</u> • 720+ credit score / Max 80% • < 720 credit score / Max 75%	<u>Cash Out Refinance</u> • 720+ credit score / Max 75% • < 720 credit score / Max 70%
		• Condominium leaseholds not permitted	
	Condotels	<u>Purchase or Rate & Term Refinance:</u> • 700 credit core / Max LTV 70% • 680 credit score / Max LTV 65%	<u>Cash Out Refinance:</u> • 700 credit score / Max LTV 65% • 680 credit score / Max LTV 60%
• Min DSCR $\geq .75$ • Max Loan Amount: \$1,500,000			
Rural Properties	• Properties in a resort area will only be considered as follows: ◦ Maximum LTV of 65% and ◦ Min DSCR ≥ 1.00 ◦ Examples of acceptable resort areas include beach towns, ski resort areas, golf communities or communities with other major recreational activities ◦ If property is accessible by a gravel road and distance of comparable is > 1 mile away, the property could be considered rural even if it is marked suburban, and then Max LTV is the lesser of 65% LTV or the applicable Matrix LTV ◦ Properties must be accessible by roads that meet state/local minimum standards • Properties must be suitable for year-round occupancy regardless of location • Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/		

Appraisals	• Second appraisal required for all loan amounts > \$2.0M • Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5 except for those with a full second appraisal • C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when > 65% LTV
Acreage	• Max 2 acres; Acreage and land value must be typical and common for the subject's market

INVESTOR DSCR NO RATIO

INVESTMENT PROPERTY (BUSINESS PURPOSE)					
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refinance	Max LTV Cash-Out Refinance	Property Type
740	1,000,000	75	75	65	Single Family, PUD, 2-4 Units, Warrantable & Non-Warrantable Condominiums
	1,500,000	70	70	60	
720	1,000,000	70	70	60	
	1,500,000	65	65	60	
700	1,000,000	65	65	60	
	1,500,000	65	65	60	

OVERVIEW

The Investor DSCR No Ratio Program is a designed to offer certain DSCR options when the rental income is not sufficient to cover the cover the monthly payments. This program allows investors' additional options.

GEOGRAPHIC RESTRICTIONS

DC	Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
FL	- Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. - Charlotte, Lee, Hendry, and Glades Counties: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	Cook County: Effective July 2, 2025, all occupancies are ineligible.
IN	Indianapolis: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
MD	Baltimore City: Effective July 2, 2025, all occupancies are ineligible.
NJ	Patterson: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
NY	- Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. - All originations are restricted as follows: - Brooklyn: Effective July 29, 2025, Investment Properties are ineligible, including DSCR. - Orange County: Effective July 2, 2025, all occupancies are ineligible. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	- Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible - Lubbock: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.

GENERAL REQUIREMENTS

Exceptions	Not Permitted
Product Type	30 Year Fixed 15 Year Fixed
Interest Only	Not permitted
Loan Amounts	Min: \$125,000 and Max \$1,500,000
Interested Party Contributions	6%
Subordinate Financing	Not Permitted

Occupancy	Investment Properties (Business Purpose)
Loan Purpose	Purchase, Rate & Term Refinance, and Cash Out Refinance
2-1 Buydown	Not Permitted
Refinances – Continuity of Obligation	- Continuity of ownership is required on all refinance transactions, which occurs when at least one borrower(s) or member of the LLC on the existing mortgage is also a Borrower on the new refinance transaction - When an existing mortgage will be satisfied because of the refinance transaction, the following requirements must be met: - At least one borrower on the refinance mortgage held title for the most recent six (6) month period and the mortgage file contains documentation evidencing the borrower has been making timely mortgage payments, including the payments for any secondary financing, for the most recent six (6) month period - At least one borrower on the refinance mortgage inherited or was legally awarded the mortgaged premises by a court in the case of divorce, separation, or dissolution of domestic property
Properties Listed for Sale	All Refinance transactions: property cannot be listed for sale in the last 12 months prior to the application date
Delayed Financing	- Delayed Financing loans are considered Cash Out Refinance refinances for eligibility purposes, however, are not subject to cash-in-hand limits - It is acceptable for a property to be unleased provided the appraiser indicates in the appraisal that the property has been improved or rehabbed post-acquisition, to warrant the lack of an existing lease. - The explanation and documentation are subject to Underwriter review to determine if an acceptable reason has been provided for lack of a lease
Cash-Out	- LTV > 60% = \$1,000,000 - LTV <=60% = Unlimited - Cash-in-hand limits do not apply to Delayed Financing Transactions - Not permitted for Non-Permanent Resident Aliens - Cash Out Refinance refinances on properties acquired within the past 12 months are ineligible
Max Financed Properties	Max 20
Insurance Requirements	In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. Blanket policies covering the subject property are permitted.
Escrow Waivers	Not permitted
Prepayment Penalty	Required on Investment Properties where permitted. Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	- Credit: 120 days - Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> - U.S. Citizens - Permanent Resident Aliens - Non-Permanent Resident Alien - U.S. Credit only - Below Visa Types only permitted: E-1, E-2, E-3, EB-5, G-1 through G-5, H1-B, L-1, NATO, O-1, R-1, TN NAFTA. - Cash Out not permitted - Tenants in common are ineligible unless all parties match the borrowers on the loan.	<u>Ineligible:</u> - ITIN - DACA - Foreign National - LLCs, partnerships, or corporations (may qualify for vesting only) - Trusts or Land Trusts (trusts may qualify for ownership vesting only)
First Time Homebuyer (FTHB)	Considered	
Investor Experience	Not Required	

Entity Vesting	Entity vesting layering of entity not permitted
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CREDIT REQUIREMENTS - INVESTOR DSCR NO RATIO

Credit Score	- Minimum credit score: 700 - The Representative Score is as follows: - Lowest middle score of all borrowers
Tradelines	- Each borrower must have a minimum of two (2) trades within 24 months that show a 12 month history OR a combined credit profile between both borrowers with a minimum of three (3) tradelines - Tradeline activity is not required. - Eligible trades cannot have delinquency in the past 24 months - Current housing, not reporting on credit may count as a trade if cancelled checks/debits are provided.
Derogatory Credit	- All derogatory revolving and installment accounts 60 days delinquent within 4 years of closing requires a full explanation - Non-title charge-offs and collections within three years and exceeding \$5,000 (individually or aggregate) must be paid. - Medical collections less than \$15,000 are not required to be paid - IRS tax payment plans approved by the IRS are permitted provided they are current and do not carry a lien on the property. - A copy of the approved repayment plan is required - A minimum of 2 months has elapsed on the plan and evidence of timely payments for the most recent 2 months is provided
Credit/ Housing Events	3 years seasoning is required - Chapter 13 must be discharged or dismissed 2+ years - Multiple bankruptcies not permitted

DSCR AND RENTAL INCOME REQUIREMENTS

DSCR Ratio	0 to 74.99 - DSCR calculation is as follows: - Debt-Service Coverage Ratio = Gross Income / PITIA
Lease and Occupancy Requirements	<u>General Requirements:</u> - For all purchase transactions, it is acceptable for property to be vacant; gross market rents from the 1007 / 1025 will be used. - If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the current lease - All refinance transactions require the property to be leased. Vacant property is not eligible. - Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member. - Short term rentals are not permitted.
Long Term Rentals	<u>Long Term Gross Rental Income:</u> <u>Purchase:</u> - Gross market rents from the 1007 / 1025 will be used. - If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the current lease. - If the 1007/1025 is higher than the current lease, it's permissible to use the higher market rents to qualify. - On a refinance a copy of the lease is not required for long term rentals <u>Monthly gross rents are calculated as follows:</u> - If using the lesser of market rents or the lease, nothing further is required - If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120% - If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120% <u>Refinance:</u> - FNMA 1007/1025 required - Leases are not required on refinance transactions

- If using the lesser of market rents or the lease, nothing further is required.

ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Business assets are permitted provided Borrower has 100% ownership of the business. • Atypical deposits do not need to be sourced
Reserves	• Loan Amount >=\$75,000 to \$500,000 – 3 months of PITIA • Loan Amount > \$500,000 to \$1,500,000 = 6 months of PITIA • Cash Out Refinance may be used to satisfy requirement
Gift Funds	• Permitted after meeting minimum 10% borrower contribution regardless of LTV. • Cannot be used to meet reserve requirements

PROPERTY REQUIREMENTS

Property Types	Single Family , PUD or Townhome (Attached or Detached)	• Single Family Residences with 1 or more accessory dwelling unit (ADU) are permitted if subject property is in an municipality that allows. The appraiser must specifically confirm compliance with local regulations and 2 similar comparables.
	2-4 Units	• 2-4 units with 1 ADU are permitted if subject property is in an municipality that allows; • The appraiser must specifically confirm compliance with local regulations and 2 similar comparables.
	3-4 Units Restrictions	• Refinance: ○ Max LTV 70%
	Condos (Warrantable and Non-Warrantable)	• Condominium leaseholds not permitted
	Condotel	• Not permitted
Rural Properties	• Not permitted • Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/	
Appraisals	• 1 Full Appraisal is required • Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5 • C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when > 65% LTV	
Acreage	○ Max 2 acres; Acreage and land value must be typical and common for the subject's market.	

DSCR MULTI & MIXED (5-10 UNITS MULTI OR 2-8 UNITS MIXED)

Investment Property (Business Purpose)					
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refinance	Max LTV Cash-Out Refinance	Property Type
>=1.00 DSCR					
720+	1,500,000	75	75	70	Residential 5-10 Units and Mixed Use 2-8 Units
	2,000,000	75	70	65	
	2,500,000	70	70	65	
	3,000,000	70	70	65	

OVERVIEW

The DSCR Multi & Mixed Program is designed specifically for the investors who want to use DSCR income for a multi-unit or mixed use property.

GEOGRAPHIC RESTRICTIONS

DC	Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
FL	- Foreign Nationals and Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. - Charlotte, Lee, Hendry, and Glades Counties: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	Cook County: Effective July 2, 2025, all occupancies are ineligible.
IN	Indianapolis: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
MD	Baltimore City: Effective July 2, 2025, all occupancies are ineligible.
NJ	Patterson: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
NY	- Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. - All originations are restricted as follows: - Brooklyn: Effective July 29, 2025, Investment Properties are ineligible, including DSCR. - Orange County: Effective July 2, 2025, all occupancies are ineligible. - No 5/6 ARMs on Investment Property loans below the FNMA loan limit. - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	- Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible - Lubbock: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.

GENERAL REQUIREMENTS

Exceptions	Permitted
Product Type	30 Year Fixed, 15 Year Fixed 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) 30 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) 5/6 and 7/6 SOFR ARMs, 30 Year Term – Fully Amortizing
Interest Only	Max LTV: 75%
Loan Amounts	- Min: \$250,000 and Max \$3,000,000 - Loan sizes under \$400,000 require a 5% reduction to LTV

Interested Party Contributions	• 6%
Occupancy	• Investment Properties (Business Purpose)
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
2-1 Temporary Buydown	• Not permitted
Cash-Out	• Max cash-out: \$1,000,000
Subordinate Financing	• Not Permitted
Insurance Requirements	• In addition to property and title insurance, In addition, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. Blanket policies covering the subject property are permitted.
Insurance Requirements	• In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. • Blanket policies covering the subject property are permitted.
Escrow Waivers	• Not Permitted
Prepayment Penalty	• Required where permitted. Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	• Credit: 120 days • Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Aliens • Foreign Nationals	<u>Ineligible:</u> • ITIN • DACA
First Time Homebuyer (FTHB)	• Not Permitted	
Investor Experience	• First time investors not permitted for Mixed-Use 2-8 Units. • Borrower must have a history of owning and managing commercial or residential real estate for at least 1 year in the last 3 years • First time investors are permitted on 5-10 Unit Residential properties with a 0x30x24 housing history or when the Primary Residence is owned free and clear	
Entity Vesting	• Permitted	
Foreign National	• Min DSCR ≥ 1.00 • Foreign Credit is permitted. • Reserves: 12 months PITIA	• LTV requirements: ○ $\leq \\$2,000,000$ = Purch & Rate/Term: 70% LTV or Cash-Out: 65% LTV ○ $> \\$2,000,000 - \\$2,500,000$ = Purch & Rate/Term: 65% LTV or Cash-Out: 60% LTV ○ $> \\$2,500,000 - \\$3,000,000$ = Purch & Rate/Term: 60% LTV or Cash-Out: 55% LTV

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score is 720 • The Representative Score is as follows: ○ Middle of 3 scores or lower of 2 of all Borrowers
Tradelines	• All borrowers have 3 scores: or • Minimum 2 open and reporting 24 months; or • 3 open and reporting 12-months.
Housing History	• 0x30x24

Credit / Housing Events	• 2 years seasoning is required
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DSCR AND RENTAL INCOME REQUIREMENTS

DSCR Ratio	• Min 1.00 • DSCR calculation is as follows: ◦ Debt-Service Coverage Ratio = Gross Income / PITIA
Rental Income Requirements	• Use lower of Estimated market rent or lease agreement on a refinance. • Purchases use the estimated market rent. • For leases that have converted to month-to-month, provide 2 months bank statements to support rental income. • Reduce qualifying rents by any management fee reflected on the appraisal report. • 2-8 Units Mixed Use: ◦ Income from commercial space must not exceed 49% of the total property income.
Lease & Occupancy Requirements	• For Purchase, Rate & Term Refinance and Cash-Out transactions, all units must be either leased or in lease ready condition meaning the properties have been cleaned, no renovations or repairs to the properties are needed and the properties are immediately available to be leased to an eligible tenant. • Corporate lease agreements are acceptable with lease terms consistent with typical market standards and will be subject to standard market rent verification. • Lease agreements that allow single room occupancy or boarder leases are not permitted. • Third party sale and leaseback agreements or contract for deed transactions will not be permitted. • All leases must be in U.S. Dollars. • For a leased property, the DSCR is based upon the lesser of the estimated market rents or the leases. On purchase transactions, copies of the leases are not required. • Properties with expired leases that have converted to month to month per the terms of the lease will require bank statements for the lesser of two months or the period after the lease expired. • Vacant Unit(s) – Use 75% of the market rents to qualify. ◦ Max 1 vacancy on a refinance of a 2-3 Unit property. ◦ Max 2 vacancies on a refinance of a 4+ Unit property. • On a purchase, and/or a refinance situation where a property was recently rehabbed, with evidence the property is currently listed for rent, it is not considered unleased, and it is permissible for all units to be vacant at the time of purchase or refinance, provided all units are in lease-ready condition. • Reduce Qualifying Rents by any management fee reflected on appraisal report • 2-8 Units Mixed-Use: ◦ Income from commercial space cannot exceed 49% of the total property income
Eligible Tenants	• Neither the borrower(s) nor the borrower's immediate family shall at any time occupy the residential units. • Borrower affiliated tenants are defined as any borrower or guarantor, any affiliate of the borrower/guarantor, any holder of a direct or indirect interest in Borrower or such affiliate, any officer, director, executive employer, or manager of the borrowing entity, and any family member (including spouse, siblings, ancestors, and lineal descendants) of any person or entity described previously. • Borrowers must attest that all residential tenants are non-borrower affiliated. • Commercial units may be occupied by the borrower's business, however in that instance the lesser of market rents or the amount of rent from the lease will be used when calculating the DSCR for the borrower occupied units.

ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required
Reserves	• Loan Amt <= \$1,500,000: 6 Months PITIA • Loan Amt > \$1,500,000 - \$2,000,000: 9 months PITIA • Loan Amt > \$2,000,000 - \$2,500,000: 12 Months PITIA • Loan Amt > \$2,500,000 - \$3,000,000 12 Months PITIA • Cash Out Refinance may be used to meet reserve requirements

Gift Funds	• Permitted after meeting min 10% borrower contribution regardless of LTV. • Cannot be used to meet reserve requirements	
PROPERTY REQUIREMENTS		
Property Type	Multi Family and Mixed-Use	• Residential 5-10 Units • Mixed Use 2-8 units. • For properties with less than 5 units, at least 1 unit must be commercial. ○ 2-3 Units: Max 1 commercial unit ○ 4-5 Units: Max 2 commercial units ○ 6-8 Units: Max 3 commercial units ○ Commercial space must not exceed 49% of the total building area • Multiple buildings on one parcel are not permitted.
Rural Properties	• Not permitted	
Property Requirements	• Minimum 400 square feet per unit • Must be accessible for year-round residential use • Each residential unit must contain a full kitchen and bath • Represent the highest and best use of the property	
Property Condition	• No fair or poor ratings • No environmental issues (Storage or use of hazardous material, ex. Dry Cleaners, Laundromat) • No health or safety issues as noted by the appraiser (ex. Broken windows, stairs, etc.) • No excessive deferred maintenance that could become a health or safety issue for tenants. • No structural deferred maintenance (ex. Foundation, roof, electrical, plumbing)	
For Sale by Owner	• Not permitted	
Appraisals	<u>Residential 5-10 units:</u> • FHLMC 71A • FHLMC 71B for loan amounts < \$750,000 (Correspondent only) • Narrative report <u>Mixed-Use 2-8 Units:</u> • FHLMC 71A • FHLMC 71B for loan amounts < \$750,000 (Correspondent only) • General Purpose Commercial Forms (ex. GP Commercial Summary Form) or Narrative report • Loans > \$2,000,000 require a second appraisal unless a 71A or Commercial Narrative report is provided. ○ BPO to be ordered on all transactions except for those including two full appraisals. • The following are required with each report: ○ Full Interior Inspection of each unit ○ Rent roll ○ Income and Expense Statement ○ Photos of subject including exterior/interior and street scene ○ Aerial photo ○ Sketch or floor plan of typical units. ○ Map ○ Appraiser qualifications	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when >65% LTV.	
Acreage	• Max 2 acres; Acreage and land value must be typical and common for the subject’s market.	

FOREIGN NATIONAL

SECOND HOME					
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refi	Max LTV Cash-Out Refi	Property Type
700+	1,500,000	75	70	65	Single Family, Warrantable and Non-Warrantable Condo, and Condotel
	2,500,000	70	70	65	
	3,000,000	65	65	60	
Foreign Credit	1,000,000	70	70	65	
	1,500,000	70	70	65	
	2,500,000	65	65	60	
	3,000,000	60	60	55	
INVESTMENT PROPERTY					
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refi	Max LTVCash-Out Refi	Property Type
700+	1,500,000	70	65	60	Single Family, 2-4 Units , Warrantable and Non-Warrantable Condo, and Condotel
	2,500,000	65	65	60	
	3,000,000	60	60	55	
Foreign Credit	1,000,000	65	65	60	
	1,500,000	65	65	60	
	2,500,000	60	60	55	
	3,000,000	55	55	50	
INVESTMENT PROPERTY					
DSCR					
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refi	Max LTV Cash-Out Refi	Property Type
DSCR >=1.00					
700+	2,000,000	70	70	65	Single Family, 2-4 Units, Warrantable and Non-Warrantable Condo, and Condotel
	2,500,000	65	65	60	
	3,000,000	60	60	55	
Foreign Credit	2,000,000	70	70	65	
	2,500,000	65	65	60	
	3,000,000	55	55	50	

OVERVIEW

The Foreign National Program is designed to cover a range of income documentation types, and other program specific options for the Foreign National Borrower.

Foreign Nationals:

- **Foreign Nationals are eligible for DSCR (excluding Multi & Mixed) under the Foreign National Program.**
 - For Multi & Mixed-Use properties see the Multi & Mixed Program

GEOGRAPHIC RESTRICTIONS

DC	• Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
FL	• Foreign Nationals from the Peoples Republic of China are ineligible. • Charlotte, Lee, Hendry, and Glades Counties: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
HI	• Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	• Cook County: Effective July 2, 2025, all occupancies are ineligible. • Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
IN	• Indianapolis: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
MD	• Baltimore City: Effective July 2, 2025, all occupancies are ineligible.

NJ	• Patterson: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
NY	• Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. • All originations are restricted as follows: ○ Brooklyn: Effective July 29, 2025, Investment Properties are ineligible, including DSCR. ○ Orange County: Effective July 2, 2025, all occupancies are ineligible. ○ No 5/6 ARMs on Investment Property loans below the FNMA loan limit. ○ See NY Subprime section for requirements. ○ Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	• Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible • Lubbock: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.

GENERAL REQUIREMENTS

Exceptions	• Permitted
Product Type	• 30 Year Fixed, 15 Year Fixed • 30 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing).
Interest Only	• Eligible on 30-Yr Fixed I/O
Loan Amounts	• Min: 150,000 and Max \$3,000,000
2-1 Buydown	• Not permitted
Occupancy	• Full Doc/Alt Doc: Second home (1-Unit only) and Investment Properties 1-4 Units • DSCR: Investment properties 1-4 Units (Business Purpose)
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
Cash Out Refinance	• > 55% LTV = \$1,000,000; or • <= 55% LTV = Unlimited • Condo and 2-4 Units = Max Cash LTV 65%
Interested Party Contributions	Second homes • <= 75% LTV = 9% Investment • ALL = 6%
ACH Payment	• Automatic Payment Authorization (ACH) Form is required for all foreign national borrowers. Funds must be from a U.S. Bank. ○ The executed ACH enrollment for payment of Principal, Interest, Taxes and Insurance must be provided. ○ The ACH enrollment form must include the bank routing number, account number, and account type. Borrowers may select a date within the grace period stated on the Note. • To set up the Automatic Payment Authorization (ACH), a copy of the borrower's cancelled check to validate the bank's routing and account number and the executed ACH form are required prior to or no later than closing.
Subordinate Financing	• Not Permitted
Insurance Requirements	• In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. • Rent Loss Insurance may be waived with three additional months of PITIA reserves. • Blanket policies covering the subject property are permitted.
Escrow Waivers	• Not Permitted
Prepayment Penalty	• Required where permitted for Investment Properties. Refer to the "Business Purpose Licensing & PPP Restrictions" PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	• Credit: 120 days • Income and Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	• A Foreign National is a non-U.S. citizen that must live and work in another country and be a legal resident of that same country. • Borrowers may not purchase property intended for use as a Primary Residence. • If a non-U.S. Citizen is borrowing with a U.S. Citizen, Foreign National documentation requirements still apply.
Documentation Requirements	• If a non-U.S. Citizen is borrowing with a U.S. Citizen, Foreign National documentation requirements still apply. • The following documentation is required: ○ Copy of the borrower's valid and unexpired passport and: ○ Copy of the borrower's unexpired visa OR an I-797 form (Notice of Action) with valid extension dates and I-94 Form (Arrival/Departure Record), or ○ Borrowers from countries participating in the State Department's Visa Waiver Program (VWP) are not required to provide a valid visa. • Participating countries can be found at https://travel.state.gov/content/travel/en/U.S.-visas/tourism-visit/visa-waiver-program.html. • Citizens of Canada traveling to the United States do not require a nonimmigrant visa. • A list of nonimmigrant Visa types is located on the U.S. Department of State website: https://travel.state.gov/content/travel/en/U.S.-visas/visa-information-resources/all-visa-categories.html • All parties (Borrower's and Seller's) involved on the transaction must be screened through exclusionary lists and must be cleared through OFAC's SND list. • A search of Specially Designated Nationals & Blocked Persons list may be completed via U.S. Department of Treasury: http://sdnsearch.ofac.treas.gov/ • Borrowers from OFAC sanctioned countries are ineligible: ○ http://www.treasury.gov/resourcecenter/sanctions/Programs/Pages/Programs.aspx ○ Individuals with Diplomatic immunity are not eligible: immunity status is listed on the reverse side of the U.S. issued ID card or at: https://2009-2017.state.gov/s/cpr/rls/dpl/index.htm • Documents signed outside of the United States must be notarized by a U.S. embassy or consular official specific documentations requirements are listed in the General Guidelines.
Non-Occupant Co-Borrower	• Permitted when the non-occupying co-borrower is a U.S. Citizen taking title to the property.
First Time Homebuyer (FTHB)	• Permitted
Investor Experience	• Not Required
Power of Attorney	• Power of Attorney not permitted

CREDIT REQUIREMENTS

Credit Score	• When a U.S. Credit report is obtained, the minimum credit score is 700. • Representative Credit core requirements: ○ The primary borrower must have a valid credit score from at least 2 of the following 3 agencies: Experian (credit score), Transunion (Empirica), and Equifax (Beacon). ▪ Only credit scores from these agencies are acceptable. ○ Select the middle credit score when 3 scores are provided and the lower credit score when only 2 credit scores are provided. • A U.S. credit report should be obtained for each borrower with a valid Social Security Number. The credit report should provide merged credit information from the 3 major national credit repositories • Foreign Credit: ○ For borrowers without a valid Social Security Number, an Individual Taxpayer Identification Number (ITIN) is also allowed. An ITIN is acceptable if the borrower has the ITIN for purposes of reporting taxes from passive income sources only and is not employed in the U.S.
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	○ A traditional U.S. credit report is not required for borrowers without a valid SSN. ○ Borrowers who do not have an SSN or ITIN may still proceed using Foreign Credit ○ The URLA should be updated with 999-99-9999 in the SSN field. ○ All other Program requirements still apply.
Tradelines	• <u>Qualifying with U.S. Credit:</u> ○ Minimum: 2 open and reporting 24 months or 3 open and reporting 12 months even if 3 credit scores are available. • <u>Qualifying Foreign Credit:</u> ○ A Qualifying Foreign Credit borrower may or may not have a U.S. credit report with no credit score, a single credit score, or a credit score with insufficient tradelines. ○ Must establish an acceptable credit history demonstrating either 2 open tradelines reporting for 2 years with activity in the most recent 12 months displaying or three open trades with a 12+ month rating. in either example trades must experience no derogatory payments ○ This can be accomplished through a combination of any of the following: ▪ Tradelines evidenced on an international credit report if a U.S. credit report cannot be produced or does not reflect sufficient trades; and/or ○ Alternative tradelines consisting of two of the following: ○ Credit reference letter(s) from the borrower's country of origin with the following information: ▪ State the type and length of the relationship, how the accounts are held, and status of the account. ▪ Contact information must be provided for the person signing the letter; and ▪ Any translation must be signed and dated by an unaffiliated certified translator. Google translator is not permitted. • A 2 year housing history can be used as a tradeline if a Primary Residence is owned free and clear but taxes and insurance is paid for 12 months or more this can be used for one of the 3 trade lines.
Housing History	• 0x30x12 • CPA Letter – Free and Clear Property Form or other evidence may be used as verification. Property Tax and/or Property Insurance paid annual invoice(s) may be used to validate housing expense and alternative trade • Taxes and insurance must be included in the DTI, unless evidence is provided to support taxes and/or insurance does not exist
Credit / Housing Event	• 4 years seasoning is required

DTI AND RESIDUAL INCOME REQUIREMENTS

DTI Requirements	• Max 50% for Full Doc or Asset Utilization
Residual Income	• Required on Second Homes only • Defined as Gross Monthly Income less Total Monthly Obligations. • Requirement based on # in household • Applies to HPML loans or when the DTI > 43% on Second Homes only: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 ○ Add \$150 per additional household member (related or unrelated)

INCOME REQUIREMENTS

Full Doc - Income Requirements	
Wage Earners	• Letter from employer on company letterhead providing current monthly salary and YTD earnings, OR 2 months' pay stubs with YTD earnings. • Verification of earnings for the last 2 years (letter from employer or W-2 equivalent) • Employer to be independently verified (via LexisNexis, D&B International Business Search, Google, or other means of verification). • An unaffiliated certified translator must translate all documents.
Self-Employment	• Borrowers who have been self-employed for at least 2 years are allowed. • The following items must be obtained: ○ Letter from a CPA providing income for the last 2 years and year to date earnings. ○ A copy of the Accountant's current license is required.

	- Self-employed business and CPA are to be independently verified (via Lexis Nexis, D&B international business search, google, or other means of verification). - An unaffiliated certified translator must translate all documents. - Verbal verification of employment are not required.
Rental Income	- Rental income on the Tax Returns: - When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent years' income will be used for qualifying - Cash flow Analysis of the Schedule E should be completed - Rental Income NOT on the Tax Returns: - Evidence of borrower's ownership of the property - For a refinance and/or to document rental income on other REOs - Lease agreement - Two months of bank statements demonstrating receipt of rental income. - Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source. 75% of the rental amount on the lease is used for qualifying.
Alt Doc - Income Requirements	
Asset Utilization	- May be used as a sole source of income or combined with other income. - Eligible Qualified Assets must be seasoned for a minimum of three (3) months. - Borrowers must have the lesser of: 1.5 times the loan balance or \$1,000,000 in Qualified Assets, both of which must be net of down payment, closing costs, and required reserves to qualify. - Monthly Income Calculation: - Net Qualified Assets / 60 months - Foreign Assets are eligible.
DSCR RATIO AND RENTAL INCOME REQUIREMENTS	
DSCR Ratio	- Min 1.00 - Min 1.15 Short Term Rentals - DSCR Ratio Calculation: - Short or Long Term Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans)
Lease and Occupancy Requirements	- All refinance transactions require the property to be leased. Vacant property is not eligible <u>except</u> for: - Properties leased through short term rental agencies; or - With evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such. - Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member.
Short Term Rentals (STR)	<u>Short Term Rentals:</u> - Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. - Min DSCR >= 1.15 - Max LTV: Lesser of 70% or the Matrix LTV/CLTV - Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs - Note: except for the five (5) New York City Boroughs which are ineligible for purchase <u>Short Term Gross Rental Income:</u> - The following options are available: 1007/1025 or - Alternative Short Term Rent Analysis form developed by an AMC or 12-month look back on rents received using bank statements or third party rental statements. - When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents.
	<u>Long Term Gross Rental Income:</u> - If using the lesser of market rents or the lease, nothing further is required. - If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. - If the actual rent exceeds 120% of the market rents, the rents are capped at 120%.

Long Term Rentals	• If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. • If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%
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ASSET AND RESERVE REQUIREMENTS

Assets	• 30 days asset verification required for U.S. Based Accounts; 60 days for Foreign Assets • Funds required for downpayment and closing costs must be seasoned in a U.S. depository institution for 10 days prior to closing unless funds are held in a foreign bank with U.S. Based FDIC insured branches OR wired directly to the closing agent • Funds used for reserves may be held in a foreign account. The value of the asset must be converted to U.S. dollars and include a printout of the current exchange rate. • Contact information must be provided by the person signing the letter, and the letter must state the type of relationship, length of the relationship, how accounts are held, and current balance. • Large deposits (> 50% of gross income) must be documented on purchases on Full Doc and Asset Utilization.
Reserves	• 12 months of PITIA • 6-months with 5% LTV reduction. • Cash Out Refinance may be used to satisfy requirement • Reserves not required when using Asset Utilization as sole source of income.
Gift Funds	• Permitted after meeting minimum 10% borrower contribution, <u>plus</u> reserves, regardless of LTV. • Max loan amount of \$1,000,000 when there is a gift • No maximum amount of donors • Gift funds are not permitted to be used towards reserves.

PROPERTY REQUIREMENTS

Property Types	Single Family, PUD, Townhome (Attached or Detached)	• Single family residences with 1 or more accessory dwelling unit (ADU) are permitted if subject property is in an municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.	
	Condominiums and 2-4 Units	• Condos: Warrantable and Non-Warrantable • <u>Condos and 2-4 Units Max LTV/CLTV:</u> ○ Purchase and Rate & Term Refinance = 70% ○ Cash Out = 65% • Condominium leaseholds not permitted • 2-4 Units with 1 ADU are permitted if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.	
	Condotels	• Full Doc Second Home & Investment Property Purchase or Rate & Term Refinance: ○ Max 70% LTV • Full Doc Second Home & Investment Property (including Business Purpose Loans): ○ Max 60% LTV	• DSCR Purchase or Rate & Term Refinance: ○ Max 65% LTV • DSCR Cash Out Refinance ○ Max 60% LTV
		• Max Loan Amount \$1,500,000 • Must have full kitchen & 1 separate bedroom. • Must be in a resort area or affiliated with a national hotel chain.	
	Multi-Family and Mixed-Use	• Refer to the DSCR Multi & Mixed Program	
Rural Properties	• Not Permitted		

	Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/
Appraisals	- Second appraisal required for loan amounts > \$2M - DSCR: - C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.
Declining Markets	Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV
Acreage	Max 2 acres